OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

IRELAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MARCH 1974

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BASIC STATISTICS OF IRELAND

THE LAND

Area (thousands sq. km)	69
Agricultural area, 1971, as per cent of total area	70
Population of major cities, with suburbs, 1971 census (thousands):	
Dublin, Co. Borough	680
Cork, Co. Borough	134
Dun Laoghaire, Co. Borough	99
Limerick, Co. Borough	64

THE PEOPLE

Population (April 1973)	3 051 000
No. of inhabitants per sq. km	44
Increase in population:	
Annual average 1961-71	18 850
Natural increase in population:	
Annual average 1966-71	29 630
Emigration:	
Annual average 1966-71	10 781
Annual average per thousand of population	3.7
Labour force, total at work, April 1973	1 118 000
Employment in:	
Agriculture, forestry and fishing	261 000
Industry and construction	320 000
Other sectors	471 000

THE GOVERNMENT

Public current expenditure on goods and services, 1973 (as per cent of GNP)	16
General government current revenue 1972-73 (as per cent of GNP in 1972)	35
Public debt, 31st March 1973 (as per cent of central government current revenue 1972-73)	203

Composition of Parliament (March 1974):

	seats
Fianna Fail	68
Fine Gael	55
Labour	19
Others	2

Last election: February, 1973

FOREIGN TRADE

Exports:	
Exports of goods and services, as per cent of GNP, 1973	38
Main exports 1973 (per cent of total exports):	
Meat and meat preparations	15
Live animals	10
Dairy products and eggs	9
Textile manufactures	7
Machinery and electrical goods	7
Clothing	4
Metal ores and scrap	3
Medicinal products	3
Main customers, 1973 (per cent of total):	
United Kingdom	55
Other European Economic Community	21
United States	10
Imports:	
Imports of goods and services, as per cent of GNP, 1973	45
Main imports, 1973 (per cent of total):	
Machinery and electrical goods	18
Textile manufactures	7
Petroleum and products	6
Iron and Steel	4
Main suppliers, 1973 (per cent of total):	
United Kingdom	51
Other European Economic Community	21
United States	7

THE CURRENCY

Monetary unit: Irish pound

Currency unit per US dollar, February 1974 (average of daily figures): 0.44

NOTE An international comparison of certain basic statistics is given in an annex table.

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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The annual review of Ireland
by the OECD Economic and Development Review Committee
took place on 13th March 1974.

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Conventional signs, abbreviations

$	US Dollar
£	Irish pound or pound sterling
. .	Data not available
—	Irrelevant
0	Nil or negligible
( )	Figures based on incomplete data
Billion	Thousand million
I, II	Calendar half years
Q1, etc.	Calendar quarters
1973-74	Financial year (April to March)
SO	Stationery Office
IDA	Industrial Development Authority
AnCo	Industrial Training Authority
ESRI	Economic and Social Research Institute
ICTU	Irish Congress of Trade Unions
CII	Confederation of Irish Industry
VAT	Value added tax

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INTRODUCTION

1973 was, in most respects, a particularly successful year for Irish economic policy. An expansionary budgetary stance together with buoyant conditions abroad brought rapid growth of output which made up much of the loss experienced during the slowdown of previous years. The recovery was accompanied by a considerable improvement in the position of less favoured groups with farmers' incomes benefitting from high world beef and other agricultural prices and increased social security payments helping those on low incomes. There was also an improvement in the employment situation and the traditional pattern of net emigration now seems to have been reversed. The further deterioration in the external payments situation and the continued acceleration of prices were less satisfactory. However, given the rapid growth of domestic demand and the sharp rise in import prices the balance of payments deterioration was less than might have been expected. Developments in economic policy, demand and output and the external sector in 1973 are reviewed in Part I of this Survey. A note on the oil situation is also included. Annex A gives a chronological account of the main items of interest during 1973.

As in most other Member countries, inflation remains a major problem and recent experience in Ireland is taken up in Part II. Attention is paid to the public sector and its role in achieving faster growth and improved living standards when faced with a difficult, and potentially inflationary, financing problem. Part III returns to the outlook for 1974 and draws some overall conclusions for policy.

I DEVELOPMENTS IN 1973

Demand and output

The recovery of activity which began in mid-1972 gathered momentum during 1973; real output was probably about 7 per cent above the 1972 level, an unusually rapid rise by Irish standards. The initial recovery was to some extent induced by the upswing in the United Kingdom[1] and the stimulus of EEC membership to the agricultural sector, but an expansionary domestic policy stance played an important role.

1 GDP also rose by some 5 to 6 per cent in real terms in the United Kingdom in 1973, considerably above the longer-term average of closer to 3 per cent. The OECD world trade model would suggest that growth in the United Kingdom at 3 per cent above capacity rates may automatically have added about ½ per cent to the Irish growth rate through its effects on Irish export demand. The total impact, which would include the effects of more buoyant conditions in the UK on the flow of British investment projects and tourists to Ireland, may have been rather larger.

The 1973-74 budget was prepared against a forecast growth rate on unchanged policies of about 4 per cent. In view of the slack which had developed in previous years, the new Government decided to stimulate the economy further, bringing it closer to full capacity operation. Public capital expenditure was accelerated, while measures taken on current budget account were designed to add a further 1½ per cent to the level of real output. Considerable emphasis was placed on improved social security benefits, increased expenditure on public housing and revision of VAT rates to exclude food and increase the rates on other items, principally consumer durables[1]. Although part of the forecast increase in the current budget deficit was covered by other indirect tax changes, the anticipated outcome still allowed for a sizeable current budget deficit—a further indication of the increasing willingness to allow demand management policy to operate without the traditional constraint of current budget balance.

The buoyant conditions were apparent in virtually all the principal components of demand. Exports of industrial products grew by over a fifth in volume and almost 40 per cent by value. The value increase in beef and other agricultural exports may have been about a third, but this reflected world price movements and there was little change in the volume of food exports. Fixed investment also accelerated, with a strong recovery in manufacturing investment. Industrial Development Authority data suggest that a large part of the increase in private productive investment was associated with new investment projects from overseas, attracted, since Ireland's membership of the EEC became assured in 1972, by her incentives to export-orientated producers. Domestic industrial investment also seems to have recovered somewhat, with particularly strong increases in public sector projects, although the rapid advance of public sector housing seems to have been accompanied by a slow-down in the private sector, principally associated with monetary developments. Agricultural output continued its strong expansion, adjusting to the vastly improved prospects offered in EEC markets and the surge in world prices, though much of the increase in output in 1973 went into increased cattle stocks in anticipation of further price increases[2].

The overall strength of demand and output brought rapid increases in consumers' expenditure and imports. Consumer incomes were boosted by

1 The budget measures are given in more detail in Annex A.

2 The June estimates of stocks illustrate both the increased concentration on cattle and the increase in stockbuilding over recent years.

	1961	1971	1972	1973	1971* 1961	1973* 1971
Cattle ('000 head)	4 713	6 134	6 438	6 977	2¾	6½
Pigs ('000 head)	1 056	1 322	1 199	1 114	2½	–8
Wheat, barley, potatoes ('000 acres)	707	935	899	846	3	–5

* Average annual percentage change.

Sources: Farm Bulletin, Dept. of Agriculture and Fisheries, Dublin, September 1973; *Statistical Abstract of Ireland*, CSO.

wage and salary increases under the 1970 and 1972 National Agreements, buoyant labour market conditions and increased social security payments (wages, salaries and government transfers to the personal sector probably rose by about 18 per cent), while farmers' incomes increased by about a third. Disposable funds were further supplemented by the ready availability of bank and instalment credit, so, despite rapid price increases (about 12 per cent when measured by the implicit national accounts deflator), real private consumption rose by some 6 to 7 per cent.

Table 1 **Expenditure and output**
Percentage changes, volume, annual rates

	1960 to 1970	1971	1972	1973
Consumers' expenditure	3¾	2	5½	6¾
Government consumption	4¼	11	10½	7
Gross fixed capital formation	9¾	8	2½	13
Final domestic demand	5	4½	5½	7½
Stockbuilding[1]	¼	–1	1	1½
Exports of goods and services	7¼	5	2	10¼
Imports of goods and services	8¼	4	7½	13
Foreign balance[1 2]	–½	–½	–2½	–1½
GNP market prices	4¼	2¾	4	7½
Output by industry:				
Agriculture	¾	5½	5¾	4
Industry	6	6	4	9
Services	3¾	4	4½	6½
GDP at factor cost	3¾	5	4½	7½

1 Change as a percentage of GNP in previous period.
2 Including net factor income from abroad.
Sources: CSO, *National Income and Expenditure*, 1972, SO, Dublin; Irish submission to OECD.

The expansion of imports during 1973 reflected the acceleration of demand. Consumer durable imports, notably cars, grew rapidly during the early part of the year, but may have decelerated in recent months[1]. Imports of finished capital goods, raw materials and other industrial imports grew more evenly. Import prices also rose rapidly, partly because of commodity price movements and the depreciation of sterling, partly because of more general inflationary pressures abroad. Overall the terms of trade showed little change[2] and the trade deficit widened from £192 million in 1972 to about £270 million in 1973. The deterioration in the balance on visible trade was largely offset on invisible account. In part a recovery in tourist earnings (following a downward trend over the previous three years, largely attributable to the political disturbances

1 The pattern of private consumption during the year was distorted by advance purchases in anticipation of the indirect tax increases introduced with the Budget which became effective in September.

2 The major improvement in 1972, the equivalent of $3\frac{1}{3}$ per cent of GNP at current levels of external trade, was therefore maintained.

in Northern Ireland) was responsible. The principal stimulus to invisible receipts, however, came from the first EEC transfer payments of over £30 million, principally under the Common Agricultural Policy. The overall invisible surplus rose from £136 million in 1972 to some £185 million last year, bringing the respective current balance of payments deficits to £56 million and £86 million. The deterioration on current account was more than offset by increased inflows of both private and officially-raised capital, much of the increased private inflow associated with new industrial projets. The official reserves therefore rose somewhat during the year, at end-December being the equivalent to roughly six months imports. The one-to-one parity with sterling was maintained through 1973 with the effective devaluation from Smithsonian rates roughly doubling to about 10 per cent at the end of the year[1].

Table 2 **Merchandise trade**
Percentage changes at annual rates

	Shares in 1971 total	1960-1970	1971	1972	1973[1]
Exports					
Value	100	11	16	20	34
Average values	—	3	7½	13	(21)
Volume	—	8¾	7½	6	(11)
Agricultural exports (value)	43	8½	23	16½	31
to United Kingdom	34	9	26½	8	..
elsewhere	9	5½	12¼	54	..
Industrial exports (value)[2]	46	15¼	15	28½	40
to United Kingdom	26	14½	19	21	..
elsewhere	18	16½	8½	46	..
Imports[3]					
Value	100	11¼	11½	14¾	34
Average values	—	2½	6	4	(19)
Volume	—	8½	5¼	10¼	(13)
Imports by category (value)					
Consumer goods	24	12½	12¼	23½	27
Producers' capital goods	15	17½	4½	19	29
Materials for further production	58	9¾	15½	11	29
Current balance					
US dollars	—	–72	–173	–144	–211
Sterling[4]	—	–28	–71	–56	–86

1 Provisional.
2 Excluding Shannon, animals temporarily exported, parcel post and special transactions.
3 Excluding ships and aircraft.
4 On Irish definitions (including errors and omissions).
Sources: CSO, *Trade Statistics of Ireland*, SO, Dublin, various numbers; Irish submission to OECD.

1 Detail on exchange rate and balance of payments developments on OECD definitions can be found in the Statistical Annex.

The rapid progression of demand and output brought a marked improvement on the labour market. Non-agricultural employment, which had begun to rise in mid-1972, accelerated, with the 1973 increase probably among the largest recorded since the early 1960s. Manufacturing employment probably grew by over 2 per cent; there were smaller percentage increases in building and construction, where productivity performance has been particularly good for some time. The regional pattern seems to have been particularly favourable with the boom in agriculture reducing the move off the land and a recovery in tourism helping the outlying regions. The improvement in conditions was reflected less among the unemployed than by a continued reversal of the traditional tendency to emigrate. Emigration had begun to decline in the 1960s, but remained of some importance up to 1970. There was relatively little net movement in 1971 and there were net inflows, probably relatively small, in 1972 and 1973. There was some fall in the unemployment rate but, as was suggested in last year's Survey, the unemployment rate may significantly overstate the degree of slack on the labour market.

Table 3 **Labour market developments**

	1971 *Thousands*	Annual percentage changes			
		1961-70	1971	1972	1973
Employment in:					
Industry	323	2½	3½	–2¾	2
Manufacturing	214	2½	1	–¾	2¼
Construction	85	2½	11	7¾	1¼
Other	25	1½	7	–2½	0
Other non-agricultural	459	1	¼	1¼	1¼
Agriculture, forestry and fishing	273	–3	–3½	–2½	1¼
Total employment	1 055	0	¼	–¾	¾
Labour force	1 120	½	¼	–¼	¼
Unemployment rate	..	6¼	7¼	8	7¼
Emigration[1]	..	14.2	–0.8	–4.5	(–5)
Redundancies[1]	..	3.7[2]	8.6	10.2	7.5

NOTES All employment figures refer to April of each year, other data are annual averages. The unemployment rates show those on the live register, excluding agriculture, fishing and domestic service, as a percentage of the insured population. The emigration data for 1971 to 1973 are net passenger movements by sea and air between successive Novembers. Redundancies are those notified under the Redundancy Payment Scheme: more generous payments from September 1971 may have contributed to the 1972 increase. The data for 1973 are estimates.

1 Thousands.
2 1968 to 1970.

Sources: CSO, *The Trend of Employment and Unemployment in 1972*, SO, Dublin, 1973; Irish submission to OECD.

Monetary developments

1973 saw further progress in the development of monetary instruments, with the old system based principally on quantitative restrictions on bank lending and Central Bank guidelines on net capital inflows giving way to

a more flexible system involving the use of liquidity ratios[1]. The new arrangements, which have taken place against the background of developing Dublin money and capital markets, gave the Central Bank additional control over the banking sector which could be exercised through varying the ratios, rediscounting policy, or perhaps, via open market operations. It was hoped that the new measures would provide greater scope for competition by relating bank lending capacity to success in attracting deposits and improved efficiency in the allocation of funds among borrowers.

The more restrictive monetary measures adopted in February 1973 made use of the reforms via an increase in liquidity ratios[2]. Nonetheless, the Central Bank backed up these moves with broad guidelines on the direction of new bank lending and made provision for the freezing of half of any net new capital inflows. The resultant liquidity squeeze brought money supply growth in line with expectations up to August 1973, but there was a sharp reversal of the improved trend thereafter. Bank liquidity increased consider-

Table 4 **Money supply and bank lending**
Percentage increases not seasonally adjusted

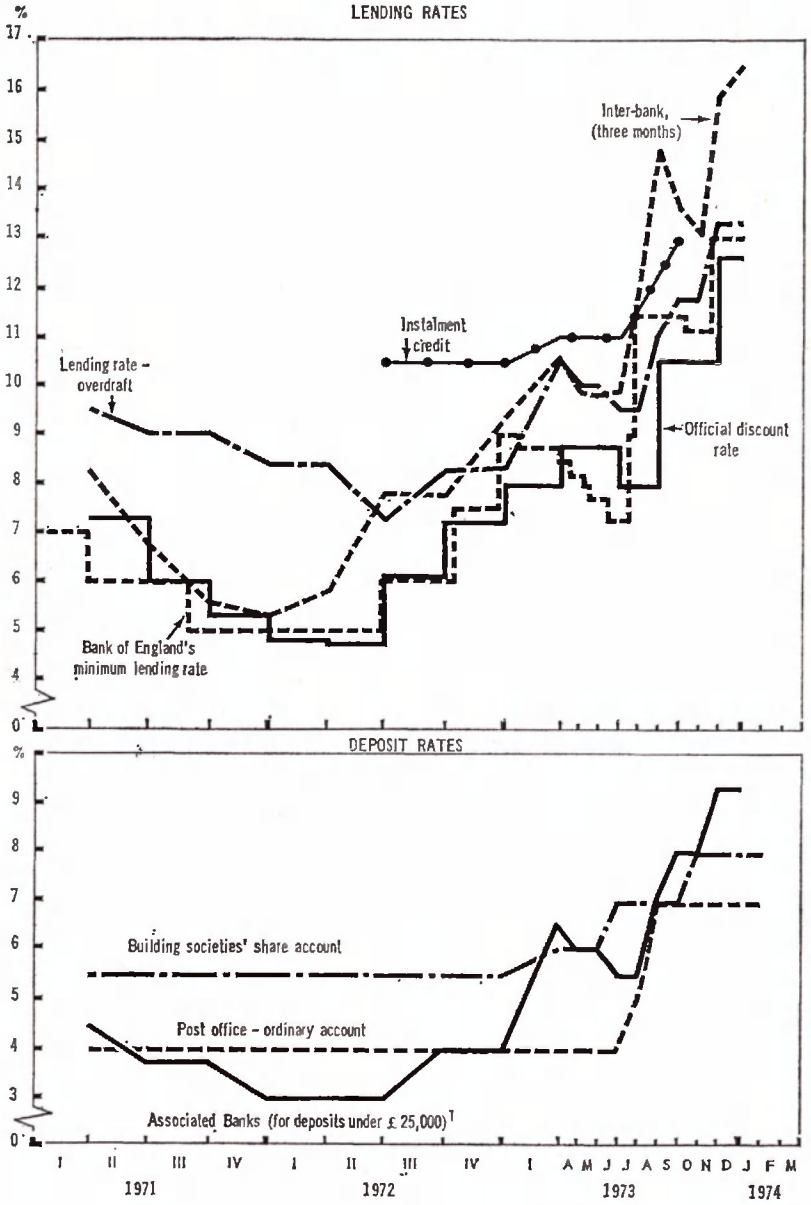
	Narrow money supply M1[1]	Broad money supply M3[2]	Non-Government bank credit	All bank lending
November 1972-November 1973	8.2	26.1	28.1	28.5
of which 3 months ending:				
February	–2.6	3.8	11.2	10.2
May 1973	1.7	5.0	3.1	5.4
August 1973	5.3	5.9	4.5	3.6
November 1973	3.7	9.4	7.0	6.7

1 Currency and current accounts.
2 M1 plus deposit accounts with Associated and non-Associated banks.
Source: Central Bank of Ireland, *Quarterly Bulletins.*

1 The required ratios relate liquid assets to 'relevant resources' — the sum of all domestic liabilities of a bank in the form of credit balances on current accounts, deposit accounts and other accounts (including amounts due to other licensed banks), plus the net external liability position, less balances with and lending to all other licensed banks in Ireland. The assets that are taken into account in calculating a bank's ratio are its holdings of notes and coin, balances with the Central Bank (including statutory deposits), Reserve Bonds and its portfolio of Irish Government paper, including Exchequer Bills. The overall liquidity requirement is comprised of a primary liquidity ratio and a secondary liquidity ratio. The primary liquidity ratio assets are holdings of notes and coin, Central Bank balances (including statutory deposits) and Reserve Bonds issued by the Central Bank while the assets in the secondary ratio are holdings of Irish Government paper. The Associated Banks' (clearing banks') overall ratio amounted to 43 per cent of relevant resources in February 1973, with the primary ratio a minimum of 13 per cent and the secondary ratio a minimum of 30 per cent. The merchant banks' and North American Banks' primary and secondary ratios were each set at 10 per cent. Industrial and other banks' overall ratio was set at 10 per cent, with all the liquid assets to be held in the form of primary liquid assets.

2 The problem became particularly acute in the first quarter of 1973, with the broadly-defined money supply growing at an annual rate of about 25 per cent. Detail of the policy moves is given in Annex A.

Diagram 1 **Interest rates**



1 Since September 1973 average of under £ 5,000 and between £ 5,000 and £ 25,000 deposits.

Source : Quarterly Bulletin, Central Bank of Ireland, Dublin.

ably between August and November, reflecting capital inflows and a seasonal decline in Government balances at the Central Bank.

Interest rates generally followed developments in the United Kingdom, resuming their upward movement in the early summer after a pause in the early months of 1973. In general, rates were held about 1½ percentage points, below corresponding British rates, which seems to be the maximum possible differential if substantial capital outflows are to be avoided. This was a reversal of the margin which prevailed during much of 1972 and, while the desire to hold down rates on longer-term development grounds is understandable, interest rates policy during 1973 may have provided an incentive to personnal borrowing. If prevailing rates of interest were discounted for the income tax saving on interest payments, it is doubtful if personal borrowing rates generally exceeded the rate of price increase during the first three quarters of 1973[1].

The rapid changes in interest rates led to distorsions in the traditional flows of funds, with deposits in non-associated banks growing unusually rapidly earlier in the year, until the Associated Banks (clearing banks) raised their deposit rates sharply in August. The building societies suffered particularly heavily in the first half of the year as competing rates rose and the societies showed their traditional reluctance to raise rates to existing borrowers. The resulting shortage of funds was alleviated by a temporary Government subsidy which enabled deposit rates to be raised in June while mortgage rates were kept constant. The relative position of the building societies was further improved by a further deposit rate increase in the autumn and the authorities' decision to make competitive bank deposits less attractive by splitting the £25,000 deposit category into two, leaving rates on bank deposits under £5,000 unchanged when other bank deposit rates were raised. As a result of these measures the flow of funds to the building societies improved markedly in the second half of 1973, but the downward trend in the share of small savings accruing to other institutions whose funds are used largely to finance public expenditure[2] does not seem to have been halted. Developments in credit flows seem to have reflected the Central Bank's February directives; credit extended to industry has since accelerated significantly and the upward trend in the share of bank credit going to the personal sector and property companies was halted. The easing of demand for consumer durables seems to have been an important factor behind these developments.

A note on the energy situation

The decisions by Arab oil producers during the last quarter of 1973 to reduce supplies and to raise prices created a number of policy problems in Ireland. The supply problem seemed likely to be particularly important as 90 per cent of Irish oil originates in the Middle East, and Irish industry is rather more dependent on oil than are its European partners. In late 1973 supply problems did create difficulties and, despite a series of measures to

1 The personal overdraft rate during much of the year was typically about 10¾ per cent, the equivalent of some 7 per cent for the standard rate income tax payer. In mid-1973 retail prices were 11 to 11½ per cent above levels a year earlier.

2 These include the Trustee Savings Banks and the Post Office Savings Banks.

reduce consumption described in Annex A, oil stocks seem to have dropped a little more than in most countries. More recently, however, the supply situation has improved[1] and it has become clear that there is considerable scope for saving on less essential uses of energy. In many European countries it has been found that savings of 8 to 12 per cent on 'normal' oils requirements are possible in the short term without affecting output and without major hardship to consumers, and the Irish case would seem to lie within this range. Greater shortfalls in supply, perhaps up to 15 per cent, could probably be met by severe restrictions on 'non-essential' uses, but beyond this the consequences for Irish industry would probably be particularly serious.

Table 5 **Energy use by sector**
Per cent

	Ireland	UK	EEC
Proportions of total energy use (1972)			
Industry	31	37	39
Households, agriculture, etc.	47	40	38
Transport	19	14	15
Other energy production	3	9	8
Use of energy by industry (1971)			
Oil	68	35	35
Coal	5	21	16
Electricity	25	31	32
Gas	2	13	17
Use of energy by households, agriculture, etc. (1971)			
Oil	22	16	42
Coal	43	25	15
Electricity	31	44	29
Gas	4	15	14
Possible cuts in oil consumption[1]	11	10	11

1 These figures should be thought of only as rough orders of magnitude. They are based on proportions of possible short-term savings on 'non-essential' uses in different sectors which seem typical of European experience: industry, 12-15 %; transport, 5-10 %; residential, commercial, etc., 12 %.

Sources: OECD, *Energy Statistics for 1972*, Paris, 1973; OECD, Secretariat estimates.

The savings of up to 15 per cent in oil usage which seem possible in Ireland compare with estimated growth of demand for oil of 12 to 13 per cent in 1974 on the basis of past experience and output growth of 5 per cent: in other word, output growth of up to 5 per cent in 1974 could probably not be contemplated if 1974 oil supplies were to fall below those of 1973. While Irish industry has had to face some initial supply difficulties, and the official position of the Arab producers remains that overall supplies are to be held 15 per cent below September 1973 levels, there are a number of factors which indicate that oil supplies should not have any further restraining effect on industrial

1 It was initially thought that oil deliveries to Ireland were running about 20 per cent below normal at end-1973, but it now appears that deliveries were higher than a year earlier.

output during 1974 and that there could even be some easing of the present restrictions later in the year. These are:

(*i*) the United Kingdom has been assured by the producers that supply shortages will not be allowed to restrain its economic activity (the United Kingdom is favourably viewed by the Arab producers and Ireland is part of the United Kingdom delivery area);

(*ii*) September 1973 was a month when production and consumer stock-building were particularly high in relation to requirements; and

(*iii*) other oil producers have managed to raise production substantially.

A further problem of energy supply could arise from the British miners' strike, but Table 5 suggests that the orders of magnitude would be much smaller. Furthermore, Ireland currently imports only 15 per cent of its coal requirements from the United Kingdom. Imports from Poland, which make up much of the balance, are expected to rise significantly this year in volume terms[1] and alternative sources are being considered in the light of developments in the United Kingdom.

The problems posed by the increase in oil prices are likely to be more severe and of a longer-term nature. Irish imports of oil in 1973 were of the order of 40 to 45 million barrels. On the basis of a c.i.f. price rise from \$3.45 to \$8.70 per barrel since early October, the implied addition to the import bill is about \$225 million, or £90 to £100 million. If higher prices and restrictions on oil use reduce consumption by some 15 per cent on the pattern which could have been expected in 1974 the direct effect on the oil bill would be close to £90 million or equivalent to about 3 per cent GNP[2]. In addition to the direct effects of higher oil prices, the demand for Irish exports could be reduced if, in Ireland's export markets, the deflationary demand effect of the oil price increase is not fully offset, while import prices of other energy forms are likely to rise sharply, as are other import prices as the higher oil prices work through. On the positive side there may be modest increases in Irish exports as demand from oil producing countries increases and the initial terms of trade effect will be somewhat modified by higher Irish export prices. But as Ireland runs a sizeable deficit on trade in industrial goods, whose prices are likely to be rather more affected than are prices of agricultural goods, the total adverse impact on the trade balance is likely to be considerably larger than the direct effect. The total balance of payments effect in 1974 can therefore be expected to be somewhat larger than the direct addition to the oil bill, perhaps in a range equivalent to 3½ to 4 per cent of GDP[3]. This change, which in terms of GDP is the largest

1 Prices are also expected to rise sharply. 40 per cent increases in the price of Polish coal were sanctioned in January while United Kingdom prices are expected to rise by at least as much in percentage terms.

2 The average external contractionary impact on GNP attributable to oil price increases in 1974 in OECD countries is close to 1½ per cent, nearer 2 if the United States are excluded. The average EEC impact is about 2 per cent, with the United Kingdom somewhat above this average. The particularly high estimate for Ireland reflects her heavy dependence on oil.

3 A 4 per cent increase in non-agricultural, non-oil trade prices may be an indication of average OECD experience in response to the oil price rise. If this increase is applied to Irish trade in non-agricultural goods it would increase the trade deficit by close to £20 million. Exceptionally large increases in other fuel prices may further raise the deficit.

among OECD countries, is also a very rough indication of the first round deflationary impact of the oil price increase. A more appropriate means of looking at the initial domestic impact, however, is via the impact of oil prices on domestic prices. For example, the direct impact on consumer prices, judging from the oil content of private consumption given by the input-output tables, could be to add about 2½ percentage points during 1974. Other energy and import prices increase as a result of the crisis[1] could add up to another 1½ percentage points, giving a total addition to consumer prices of about 4 per cent through 1974.

II INFLATION AND PUBLIC FINANCE

Price developments in 1973

The rate of price increase accelerated further in 1973, with consumer prices rising by 12½ per cent through the year. In comparative terms, however, the record improved somewhat: whereas in 1969 to 1972 Irish consumer prices rose faster than in other OECD countries the acceleration in 1973 was smaller than that generally experienced elsewhere. The relative improvement reflected continuing change in the sources of inflationary pressure operative in Ireland, changes which began to emerge clearly last year. As inflation accelerated throughout the OECD area, with especially marked increases in food and commodity prices, there was the inevitable impact on Irish prices, but the inflationary influence of domestic labour costs slackened somewhat.

Table 6 **Consumer prices**
Percentage changes at annual rates

	1960-1970	1971	1972	1973	1973[1]			
					Q1	Q2	Q3	Q4
Ireland								
Consumer prices	4¾	9	8½	11½	10	11¾	11¼	12½
Non-food items	5¼	9¾	7	9	7	7¾	10	11
Food	4	7½	12	16½	16½	20	13½	16
Consumer prices elsewhere								
United Kingdom	4	9½	7	9½	8	9½	9¼	10
United States	2¾	4¼	3¼	6½	4¾	5½	7½	8¼
France, Germany, Italy[2]	3¼	5¼	5¾	8	7	9	8¼	8½

1 Change over the same quarter a year earlier.
2 Weighted by 1970 shares in world trade at 1970 exchange rates.
Sources: Monthly Economic Indicators, OECD and direct communication to the OECD.

1 Increases in coal prices, for example, probably should not be wholly attributed to the oil crisis, but such effects have been included in the calculation of indirect effects above.

Table 7 **Contributions to consumer price increases**

	Weight	Percentage increases per unit of consumption				Percentage contribution to price increase			
		1970	1971	1972	1973	1970	1971	1972	1973
Employee incomes	28	13	11	13	9	46	35	42	23
Imports	27	7	6	3	18	22	18	10	43
Unit costs	55	10	9	8	14	68	53	52	66
Indirect taxes	18	11	8	7	5	23	15	14	7
Non-agricultural profit	18	0	7	12	9	–1	15	25	14
Agricultural profit	3	4	5	29	32	2	2	11	10
Residual	6	12	26	–4	5	8	15	–2	3
Total (consumer prices)	100	8	9	8½	11½	100	100	100	100

NOTE The table shows the rates of increase in indices of the most appropriate index of prices of each of the above inputs, multiplied by the weight of each item in private consumption given by the 1968 input/output tables. The residual includes depreciation.

External developments had an automatic effect on food prices, both via prices of imported foodstuffs and indirectly from export price increases which were reflected on domestic markets (cattle prices in Dublin were some 30 per cent higher than in 1972 and retail beef prices rose by about the same extent). Non-food import prices also rose rapidly, notably those of commodity imports, and overall import prices probably added close to 5 per cent to consumer prices, about a fifth directly attributable to the 4 per cent effective devaluation of the Irish pound. With such powerful external forces at work the deceleration of wage costs may seem a surprising, and encouraging, result. Clearly the good cost performance owes much to the National Wage Agreements in force during the year, which seem to have been well observed[1]. Not only did observance of the Agreements maintain the rate of growth of money incomes in circumstances which otherwise might have produced a dangerous acceleration, but by enabling demand management policy to bring output closer to capacity operation the predetermined increases in wage and salary bills were offset by exceptionally good productivity performance. Another year of continued freedom from major industrial disputes also helped to keep down costs.

The policy influence on prices, other than indirect tax and exchange rate changes, has been exercised principally by the arrangements for price control and monetary policy. The operation of price controls by the Department of Industry and Commerce and the National Prices Commission was discussed in last year's Survey. The scope of price controls was enlarged during the

1 The only indication of additional pressures from labour costs may be the large number of supplementary pay increases granted under anomaly clauses, though the switch to national agreements did undoubtedly leave certain groups of workers with outstanding claims. Because of differences in terminal dates for different groups of workers, increases under both the first and second national agreements were received during 1973, making it difficult to compare actual developments with those which might have been expected under the terms of the agreements. Assuming that the majority of the anomaly payments were genuine there is little evidence of slippage.

Table 8 **Costs in industry**
Percentage changes, annual rates, domestic currency

	1960-1970	1971	1972	1973[1]
Ireland				
Hourly earnings	9¼	16	15	19¾
Productivity	3½	6	4	9¼
Unit wage costs	5	9¾	10½	9¾
Time lost in strikes	360	240	180	(160)
United Kingdom				
Hourly earnings	7	13¾	12½	12
Productivity	3¼	4½	5¾	6½
Unit wage costs	3½	8	6¾	5
Time lost in strikes	160	530	930	..
United States				
Hourly earnings	4	5¾	6¾	6¾
Productivity	3½	4	4	5½
Unit wage costs	½	1¾	3	1
Time lost in strikes	400	550	300	..
France, Germany, Italy[2]				
Hourly earnings	8¾	12	10	13¼
Productivity	5¾	3½	6¼	8½
Unit wage costs	2¾	8¼	3¼	4¼
Time lost in strikes	260	230	340	..

NOTES Earnings, productivity and unit wage costs apply to manufacturing industry. Time lost in strikes refers to man days lost per 1 000 workers.

1 Second quarter over second quarter of 1972.
2 Weighted by 1970 shares in world trade and 1970 exchange rates. Time lost in strikes excludes May 1968 in France.

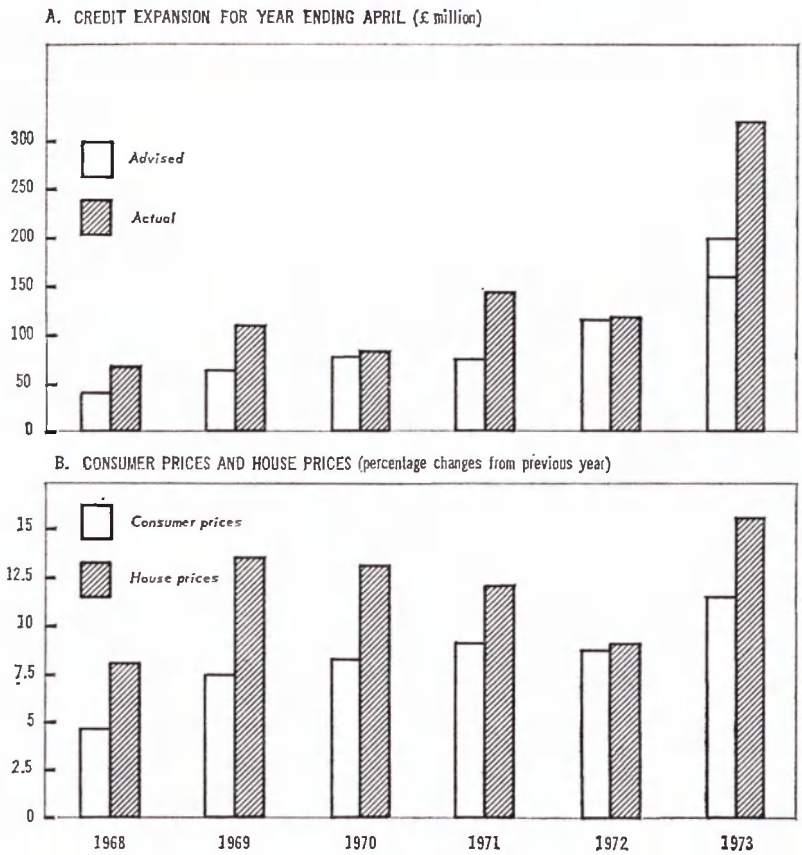
Sources: NIESR Quarterly Review, National Institute of Economic and Social Research, London, various numbers; *Employment and Earnings*, US Department of Labor, February 1974; International Labour Office; Irish submission to OECD.

year[1] but the nature of their operation has not changed greatly: with an open economy and import prices not subject to control, food prices largely determined abroad, and price increases resulting from income changes along the lines of National Pay Agreements allowable costs, profit margins remain the principal source of control[2]. The Prices Commission have therefore continued to concentrate on areas where there is evidence of monopoly or restrictive practices (for example gas, sugar and alcoholic drink) and on increasing consumer awareness of price and non-price considerations, notably in the retail trade. Broader ranging proposals on public corporations and their pricing policy have not, in general, been accepted by the authorities.

1 See Annex A.
2 Anomaly wage agreements are not allowable in calculating price increases, unless recommended by the Labour Court or the Public Service Arbitrator, and the Commission has taken a firm line on "productivity" agreements, there being no reason why a genuine productivity-linked wage increase should put pressure on prices.

Monetary developments did not make any contribution to the control of inflation. Diagram 2 below illustrates the rapid recent increases in the monetary aggregates in relation to output, which, it is probably reasonable to sug-

Diagram 2 **Monetary conditions and prices**



NOTES Section A. of the diagram compares the Central Bank's " advice " on the desired expansion of credit with actual developments. The 1971 observation was affected by a prolonged bank strike and the intitial advice for 1973 (£ 160 million) was revised to £ 200 million in the course of the year. The Bank's advice is based on views on the future course of exports, net external capital inflows and GNP: see Thomas F. Hoare, " Money, Autonomous Expenditure and Aggregate Income", *Annual Report for 1972/1973*, Central Bank of Ireland.

Section B. compares the growth of consumer prices and the prices of new houses for which building societies extended mortgages. Comparable series for land prices are not available but the recent Kenny report on land prices suggests that the available data point to " disproportionately rapid " increases in potential building land prices over the period shown. A reasonable view on agricultural land may be that, after rising at annual rates of about 10 per cent through the 1960s, prices doubled between 1970 and early 1973 and have since shown little change.

Source: Quarterly Bulletin, Central Bank of Ireland, Dublin; Irish Statistical Bulletin, Central Statistical Office; and direct communication to the OECD.

gest, has put pressure on prices. With fairly widespread control of prices and wage changes predetermined in the productive processes, at least during a period when a national pay agreement was being observed, over-rapid monetary expansion would first be expected to affect the prices of assets, notably private housing (though the institutional arrangements on interest rates could modify the degree to which the effects would be felt in this sector), other buildings or land. It is clear from Diagram 2 that these effects have been experienced, though a full explanation of the rise in agricultural land prices would have to include the prospects of substantially increased earnings in the EEC. As the effects of over-rapid monetary expansion work through the acceleration of asset prices would eventually be expected to lead to an acceleration of wages and prices in general partly because of any resulting increase in investment, employment and the pressure of demand, partly because of the normal wage response to the initial decrease in real purchasing power.

The current position

The Second National Pay Agreement expired for some groups of employees at the close of 1973 and preparation for negotiations on the next stage began in mid-year. The principal developments during the year were a clear Government position in favour of continued national agreements, a delegate conference of the ICTU which came out in favour of national negotiations within the framework of the Employer/Labour Conference and a draft Agreement concluded last December. The proposed Third Agreement suggested the equivalent of a 15 per cent increase in wage for standard cases over a twelve-month period, with escalator provisions if prices rose by more than 10 per cent[1], and the increases once again weighted in favour of the lower paid. A particularly interesting feature of the new proposals was their concentration on the problem of the spread of starting dates for different groups of workers, with an envisaged reduction of the spread (excluding extreme cases) from 11 months to 3 months. In January this year the draft Third Agreement was rejected emphatically by a special ICTU delegate conference. A revised draft Agreement, offering average rates of increase of about 18 per cent over a twelve-month period was approved by a new ICTU delegate conference on 7th March.

The precise reasons for the failure of the initial proposals to gain approval are, of course, difficult to judge with certainty. It does seem, however, that initial reactions in December were generally favourable. Thereafter opinions seem to have been affected by the uncertainties introduced by the oil crisis and growing awareness of its implications for prices, and by a desire for an indication by the Government of a commitment to changes in the income tax structure. The latter point was a recurring topic of discussion

1 The First Agreement was for the equivalent of a 17 per cent increase in rates of pay at the end of the 18 month period and the second for a 19 per cent increase over a similar period. Both provided for cost-of-living adjustments, but with lower thresholds, and both placed more emphasis on anomaly cases than did the draft Third Agreement, which suggested that most anomalies should now have been dealt with and that in future such claims should be submitted to the Labour Court for approval.

during the past year as an increasing number of workers found themselves facing marginal tax rates of up to 30 per cent[1], but the Government was reluctant to commit itself in advance of the 1974/75 budget.

The authorities' initial reluctance to commit themselves to sizeable reductions in personal income taxation may have reflected public finance considerations which conflict with immediate demand management and price/income policy requirements. The financing constraint on the authorities is linked to the important role which the public sector plays in the development process and the relative scarcity of savings to finance this role. The remainder of this section is devoted to a brief examination of the public sector, which may help to place current policy problems in a longer-term setting, before they are taken up again in Section III.

The growth of public expenditure

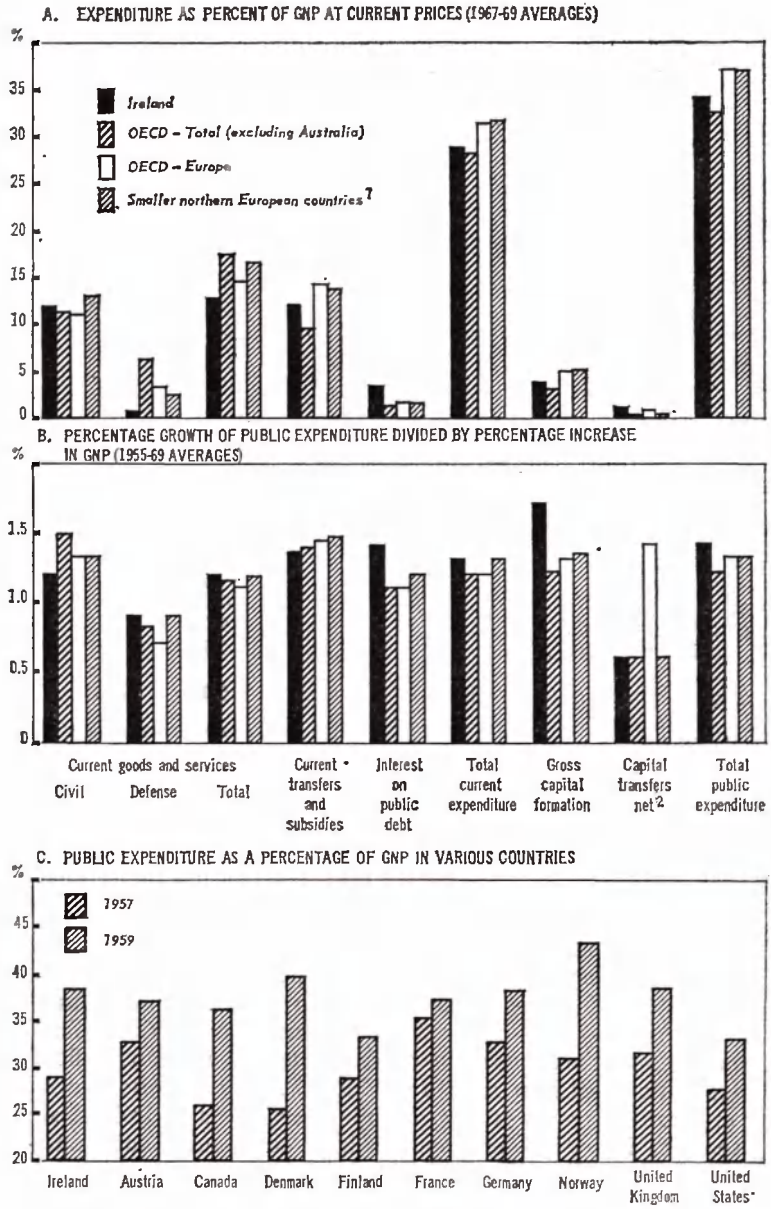
Although the public sector in Ireland was traditionally relatively important in relation to GNP, probably reflecting the low income levels in the private sector, the public sector has expanded rapidly since the marked change in policies in the late 1950s, when the emphasis was placed on industrial growth and improved social services and living standards. The importance of the public sector in Ireland and the increase in total public expenditure as a share of GNP between 1958 and 1970[2], together with comparative figures for some other countries, are shown in Diagram 3. Between 1956 and 1960, the rate of growth of public expenditure was just over half that of GNP, but in first half of the 1960s public expenditure expanded 40 per cent faster than GNP, the highest relative rate of increase of public expenditure in any Member country with the exception of Switzerland. While the relative growth of the public sector decelerated in the rest of the decade, it was still among the highest in the OECD area, and since 1970/71 the slowdown has been reversed. In the two financial years up to 1972/73, total public expenditure rose by about 35 per cent each year.

Undoubtedly a major factor behind the expansion of public expenditure was the desire to raise progressively the level of social services, which were well below those provided, for example, in the United Kingdom. As a result, expenditure on social services rose at an average annual rate of 12.6 per cent between 1958/59 and 1972/73. Over the same period the comparable rate for GNP was 9.8 per cent. The importance of the social service system in explaining the increase of public expenditure since 1958/59 can be illustrated by the very rapid expansion of education and health expenditures which up to 1972/73 rose at average annual rates of 15.8 and 14.6 per cent respectively. As can be seen from Table 9, however, social welfare payments grew at a slower rate than GNP, though part of past expenditure on agricultural services might be considered payments for social welfare purposes.

1 The structure of Irish personal income taxation, both rates and allowances, has not been substantially revised since the mid-1950s having regard to a 350 per cent increase in wage rates and a 140 per cent consumer price increase. Allowances have been increased by 100 per cent for a single person and by 65 per cent for a married person since 1955.

2 The figures for 1958 and 1970 are in fact three-year averages for the periods 1957-59 and 1969-71 respectively.

Diagram 3 **Public expenditure and GNP**



1 Austria, Belgium, Denmark, Finland, Iceland, Ireland, Luxembourg, Netherlands, Norway, Sweden, Switzerland.

2 Capital transfer data for the United States were not available for the entire period and are excluded from OECD totals.

NOTE Not all the relevant data were available for all countries, in which cases these countries have been omitted from the totals.

Sources: OECD, *National Accounts of OECD Countries, various numbers.*

Table 9 **Sectoral analysis of current central government expenditure**

	£ million		Annual percentage rate of growth
	1958-59	1972-73	1958-59 to 1972-73
Service of public debt	24.6	127.3	12.5
Social services	46.9	246.1	12.6
Social welfare	25.4	91.4	9.6
Education	13.5	91.3	14.6
Health	8.1	63.4	15.8
Economic services	22.6	143.8	14.1
Agriculture	13.3	91.8	14.8
Industry	1.6	18.8	19.2
Transport	7.0	28.5	10.5
Forestry and fishing	.8	4.6	13.3
General services	23.4	109.4	11.6
Post office	7.4	35.7	11.7
Defence	6.1	29.7	12.0
Justice, including Gardai	5.0	23.2	11.6
Public services pensions	4.9	21.2	11.0
Total central government expenditure	125.9	664.5	12.6
GNP (market prices)	600.9	2 232.0	9.8

Source: OECD, *National Accounts of OECD countries.*
Budget (various numbers).

The switch to a policy of fostering export-led growth[1] has also been responsible for much of the growth of public expenditure. This is noticeable in the payments to industry (Table 9) and the growth of capital formation and capital transfers (Diagram 3). One wing of policy has been the granting of generous incentives for export-oriented foreign investment in Ireland, and the public sector has also been involved in considerable outlays on infrastructural requirements and in fields where it was felt that there were not sufficient entrepreneurial or financial resources to produce the required response within the private sector. The policies pursued by governments in Ireland since 1958 with respect to industrial development have contributed substantially both to fixed investment and employment in manufacturing industry; about a quarter of industrial development is currently undertaken by Government or State bodies and another half is subsidised, and close to a half of new job creation in manufacturing during the 1960s was linked to policy programmes and public expenditure.

1 Prior to 1958 development policies were marked by financial orthodoxy, minimum public interference in the development field and the promotion of industrial growth by means of tariff barriers.

Financing public expenditure

The revenue side of the budget reveals what are, perhaps, the most distinctive features of Irish public finance. Traditionally, revenue has been raised by an amount sufficient to ensure that current expenditure is covered, i.e. the aim has generally been current budget balance. In practice this aim has usually been met and public sector saving has been low by international standards[1]. Low public sector saving, combined with the heavy rates of capital expenditure have brought a particularly onerous financing commitment. National accounts data provide an impression of the orders of magnitude involved: of fifteen OECD countries in 1967/69, only in Ireland and the Netherlands did public expenditure (excluding capital transfers) exceed total tax revenue (including social security contributions) by over 5 per cent of GNP[2], which compared with typical OECD experience within the range 0-4 per cent of GNP. The heavy borrowing requirement has led to a steady increase in national debt and its associated charges; although rapid inflation in recent years and borrowing by State bodies has reduced the Central Government debt burden as a proportion of GNP, it too remains high by international standards[3].

Table 10 **Revenue shortfalls and national debt**
Per cent GNP, 1967-69

	Public expenditure	Current taxes	Expenditure less taxes	National debt
Ireland	33.0	27.7	5.3	79
United Kingdom	38.0	34.2	3.8	89
France	37.0	37.0	0	18
Germany	36.5	35.1	1.4	30
Italy	34.2	30.3	3.9	61
Netherlands	43.9	37.8	6.1	35
United States	31.7	30.0	1.7	46
Canada	33.6	30.0	3.6	37
Japan	19.4	19.0	0.4	10

NOTES Public expenditure excludes capital transfers and current taxes include social security contributions. Both are expressed as percentages of GNP at current market prices. National debt is expressed as a percentage of GNP at current factor cost at end-1968 or end-March 1969, the figures excluding debt payable in foreign currency. Local authority debt is excluded (except the German Länder), as is public corporation debt (except the main state companies in Germany and Italy).

Sources: Bank of England, *Quarterly Bulletin*, March 1970; Central Bank of Ireland, *Annual Report 1972-73*; OECD Secretariat estimates.

The relatively low levels of Irish incomes partly explain the comparatively low tax receipts. For example, agricultural incomes have been such that the farming community has been left virtually free of direct taxation and some

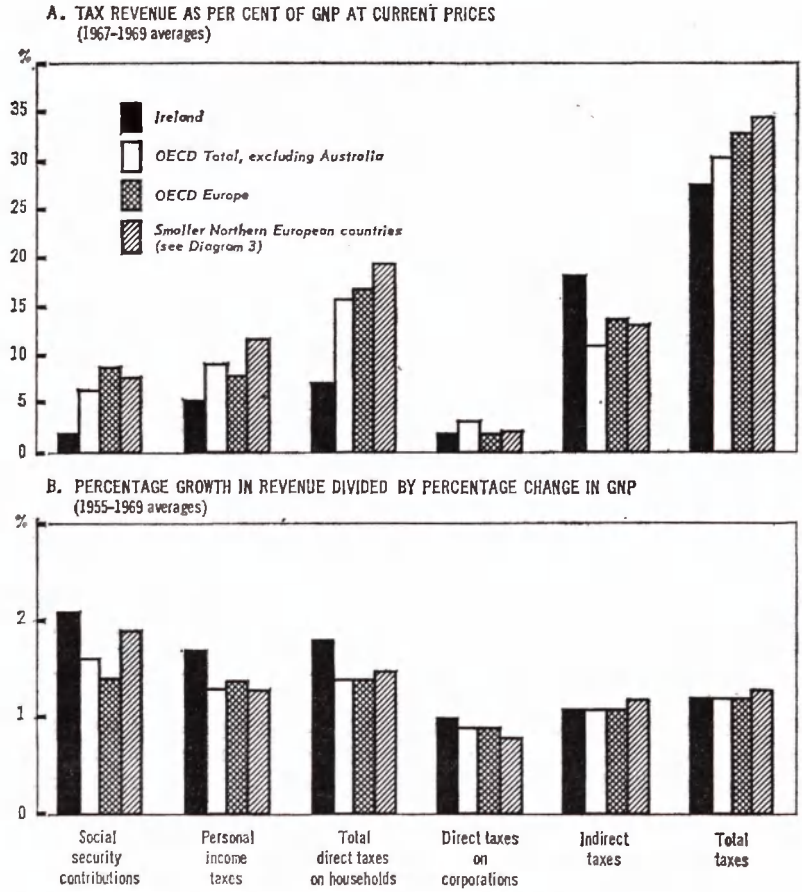
1 The balanced current budget positions on Irish definitions show a small surplus on national accounts definitions.

2 If capital transfers are included in the comparison, the degree to which public expenditure exceeds revenue in Ireland is even more unusual.

3 Between 1958 and 1967 national debt rose from the equivalent of 60 per cent of GNP at current factor cost to some 85 per cent. By 1973 the proportion had fallen below 70 per cent.

years ago only a small proportion of industrial and service sector employees were paying income tax. The tax base has been further narrowed, in comparison with other countries, by incentives to industry, notably exemptions for export earnings from profits taxation. A further problem has been the lack of buoyancy of tax revenues, yet again associated with income levels but also related to the tax structure. With low direct tax yields, indirect taxation has carried a large weight in overall receipts, yet many of the principal revenue-raising media were flat rate excise duties (notably on alcoholic drink and tobacco)[1]. In fact, in the mid-1960s, the high proportion of current expenditure devoted to price-sensitive items such as wages and salaries and social welfare payments combined with the lack of revenue buoyancy to produce a situation where inflationary conditions placed some strain on public finances.

Diagram 4 **Tax receipts**

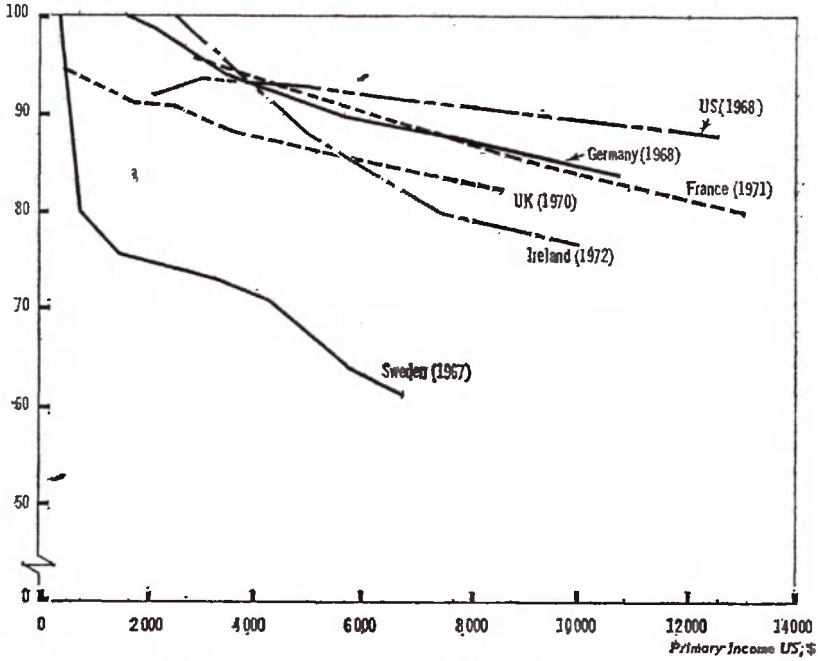


Source : National Accounts of OECD countries, various numbers.

1 Social security contributions are also flat rate.

In recent years changes in the tax structure and the rapid growth of incomes have brought much-increased buoyancy and more normal built-in stabilising properties to the system[1]. Firstly ad valorem expenditure taxes (wholesale

Diagram 5 **Personal income taxation**



NOTE The curves show the proportions of primary income remaining after taxation. The concepts used (see sources) differ from one country to another and should be noted in marking comparisons.

Sources :

United States

Herriot, Rover A. and Miller, Herman P. : *The Taxes we Pay,* in " The Conference Board Record " Volume VIII, No. 5, May 1971.

Germany

Statistisches Jahrbuch 1971.

Sweden

Den Svenska Köpkraftsfördelningen 1967.

United Kingdom

Central Statistical Office : *The Incidence of Taxes and Social Benefits in 1970, Appendix and Charts* in Economic Trends No. 220, February 1972.

France

Conseil des impôts, *Rapport au Président de la République,* juillet 1972.

Ireland

Secretariat estimates : income tax payments for married male with two adult children from wage and salary earnings.

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1 A very approximate estimate of trends can be obtained by comparing the pre-budget estimates of revenue increases for coming financial years with the GNP increases corrected for policy measures taken in the budget. The ratio of percentage ratio increases to percentage GNP increases, before policy changes, run as follows : 1963/64 - 1965/66 - 0.95; 1966/67 - 1968/69 - 1.00; 1969/70 - 1973-74, 1.08.

and turnover taxes) were introduced, to be incorporated in the more efficient VAT system in late 1972. Secondly, the rapid growth of wages and salaries in conjunction with a fairly progressive personal tax structure has considerably increased direct tax receipts. Whereas in 1955/66 only one in four employed persons was paying income tax, the proportion has now risen to close to 90 per cent, with little change in structure of personal income taxation. In relation to average levels of income, the marginal and average rates of personal income taxation are now high by international standards.

As public expenditure expanded and receipts lagged, the authorities have turned increasingly to various forms of borrowing from the banking sector and abroad. Since approximate balance has been the usual outturn on current budget account, the trends in overall public financing from non-revenue sources can be seen from the development of the public capital programme. Trends in recent years are set out in Table 11, where the most striking feature is the rapid advance of " residual borrowing ", very small in the early 1960s, which has recently been covering close to 40 per cent of financing requirements. There have been corresponding declines in the relative contributions of personal savings and security issues.

Table 11 **Sources of finance for the capital budget**
Per cent total requirements

Year ending March	1959	1962	1965	1968	1971	1974[1]*
Non-Exchequer resources	34	31	29	29	34	28
State bodies	32	27	25	26	31	26
Local authorities	2	4	4	3	3	2
Normal Exchequer resources	87	56	58	42	43	35
Loan repayments	11	5	5	6	4	3
Security sales	47	22	22	14	13	15
Small savings	14	9	9	3	13	8
Sinking funds	14	15	16	9	9	8
Miscellaneous borrowing	1	5	5	10	4	1
Residual borrowing	–21	13	13	29	23	37
Domestic banks	–21	13	13	29	16	..
Foreign borrowing	0	0	0	0	8	..
Total requirements	100	100	100	100	100	100
Total (£ million)	39	60	103	182	233	371

* Budget estimate.

1 Assuming a current budget deficit of £39 million.

Sources: Joseph H. Doherty and John P. O'Neill, " Recent Trends in Public Finance ", Central Bank of Ireland, *Annual Report 1972-73;* Budget tables for various years.

Inflation and public finance[1]

The surge in public sector borrowing from the domestic banking system seems to have brought domestic inflationary strains. If policy is being operated, as has been the case in Ireland, with an eye to desired rates of real and nominal output growth and associated rates of monetary and credit expansion, then expansion of public sector borrowing at rates more rapid than the desired overall rate of credit expansion should imply a reduction in the proportion of new credit going to the private sector. The proportion has, in fact, dropped in Ireland (Table 12) but buoyant demand for credit from the private sector has led, nevertheless, to more rapid overall credit expansion than was thought desirable (in terms of the Central Bank's monetary model and its consequent credit advice to the banks), with the result that further pressure has been put on prices.

Table 12 **An analysis of bank advances**
Per cent total

End-May	1958	1961	1964	1967	1971	1973
Agriculture	13¾	19	18	17	12¾	16¼
Mining, manufacturing and public utility	21¼	18	15¾	15¾	19½	17¾
Construction	2½	3	2¾	2½	3¼	4
Financial	3¼	4	3¾	2¾	3¾	3¼
Services	30	30	29¾	28¼	24	19½
Personal, etc.	21	22	22½	21½	19½	24½
Other	1¾	2½	1½	1½	1½	¾
Total non government	92	98	94¼	89½	84½	86
Government	8	2	5¾	10½	15½	14
Total	100	100	100	100	100	100
Total (£ million)	166	197	269	330	560	725

NOTE The figures refer to Associated Banks (clearing banks) only as these are the only available basis for historical comparisons. The inclusion of non-Associated Banks in recent periods does not significantly alter the proportions shown.

Source: Quarterly Bulletin, Central Bank of Ireland, Dublin, various numbers.

One of the preoccupations of monetary policy may have been that if more severe pressure had been placed on lending to the private sector it could have had serious consequences for private fixed investment, adversely affecting longer-term aims on the growth of productive capacity. If both aggregate savings and private fixed investment were to change little at a time when public investment was being expanded, the necessary implication would be an increase in the current balance of payments deficit. To interpret this in terms of compensating monetary policy requirements, the counterpart of increased bank lending to the public sector would have to be a reduction in lending to the

1 There are many possible links between inflation and developments in the public sector. This section deals only with one aspect, the financing problem described in the preceding discussion.

private sector which was likely to lead to current expenditure on imports[1]. The Central Bank has, from time to time, attempted to influence the flows of credit in this way, for example favouring lending to manufacturing industry at the expense of lending to the personal sector, but the effectiveness of these directives has been short lived; bank lending to the personal sector is considerably more important than lending to more productive sectors and has expanded as rapidly over the medium term (Table 11).

In some respects these problems of public sector financing and monetary control can be expected to diminish as development proceeds:

(*i*) the relative size of public sector in Ireland is now such that it can exert considerable influence in the development field while seeing its growth rate come closer into line with the overall growth of output;

(*ii*) EEC agricultural and regional development policies should help to alleviate the financial burden on the Irish authorities;

(*iii*) as incomes grow increased public and private sector savings will be possible without greatly increased rates of taxation.

Nonetheless, for some time the public sector borrowing requirement is likely to remain large compared with the other countries and it may be useful to examine means of increasing the overall rate of savings or ensuring that the public sector receives an increased share of such savings without undesired, inflationary side-effects.

One source of additional savings or a reduction in the required public sector share could, of course, be the public sector itself, either through a reduction in expenditure or increased revenue. On the expenditure side much of the growth has been essential to economic development and any modification of the broad approach adopted by successive governments would not seem appropriate[2]. Examination of the various programmes to see how effectively they are achieving their aims might, however, point to some possible savings. The management aspects of programme budgeting exercise which is currently being brought into operation could be extremely useful in this respect[3]. Farther-reaching changes on the revenue side might prove possible through a broadening of the tax base. The sharp increase in farming incomes in recent years, and the buoyant prospects over the medium term, suggest that, on both revenue-raising and equity grounds, the fiscal system should now be extended to cover the agricultural sector. Approximately 15 per cent of farmers now have incomes in excess of the income tax threshold, or the equivalent of 6 to 7 per cent of those now paying income tax. Taxes on capital,

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1 This simplified static reasoning may be more appropriate in the case of an open economy such as Ireland, where much new productive investment is export-oriented and much of any increase in private consumption is imported, than in a case where multiplier effects are relatively more important.

2 Indeed in the sense that much of public expenditure has been designed to augment the real resources at the command of the private sector, the public sector has not been increasing its share of total resources as rapidly as the overall totals suggest.

3 It is hoped that the programme budgeting system will be fully operational by 1978. Meanwhile analytical studies and staff training have been progressing and all Government Departments have been preparing their first programme budget, providing expenditure projections to 1977-78 and anticipated results.

which are relatively low in Ireland, could also be used to raise additional revenue and the Government has recently issued a white Paper which considers the introduction of wealth and capital gains taxation[1].

Some aspects of the monetary system's means of allocating the desired proportion of overall savings to the public sector, while avoiding excessive monetary expansion, might also be improved. It was suggested above that a clearer distinction in the extension of credit to the private sector in favour of that going for productive purposes would be useful. The Government has already moved in this direction by restricting the interest allowances for personal income tax purposes to £ 2,000 per annum on personal borrowing. It is doubtful, however, whether this would be sufficient to achieve the desired result and there may be a case for more direct control over the distribution of bank credit. This would imply a reassessment of priorities as it would run counter to the recent moves to allow freer rein to market forces within the banking sector. If adopted, it would also, in all probability, require stiffer sanctions on banks than have previously been used to back Central Bank advice.

III PROSPECTS AND POLICY CONCLUSIONS

The rapid expansion of demand and output in 1973 was partly dependent on taking up slack, but by the end of the year there were signs of some slow-down and the economy may have been approaching full capacity. Supply shortages of industrial materials—notably steel—and skilled labour contributed to the slow-down. Against this background, if output and the availability of capacity were the only considerations, a rate of expansion in 1974 close to the underlying growth of capacity would normally have been a reasonable target. The OECD Secretariat has previously suggested that a medium-term rate of growth of output of around 5 per cent was appropriate in Ireland[2] and the White Paper on EEC entry suggested a similar rate for the period 1970-78[3]. These figures compare with an average growth rate of around 4 per cent in the 1960s. On this basis, therefore, it seems that 5 to 6 per cent would have been an appropriate aim for the growth of real output in 1974. But this policy setting has been complicated by the changing international situation and the severe industrial disruption in the United Kingdom during the early months of the year, causing a sizeable fall in real GDP in that country. Of the two, the situation in the United Kingdom is of more immediate importance for Ireland. While there are many uncertainties about the course of output in the United Kingdom, it is likely that there will be a situation of excess demand during much of the first half of 1974. As a result, demand for finished manufactured exports from Ireland may be boosted, but there could be short-

1 See Annex A.

2 *Annual Survey of Ireland*, OECD, Paris, March 1971. The estimate of 5 per cent, however, did not allow for the favourable impact of EEC membership.

3 Prl. 2064, *The Accession of Ireland to the European Communities*, Dublin, January 1973.

ages of essential imports and components (for instance steel is likely to pose difficulties). If the level of output in the United Kingdom were around 5 per cent below normal in the first half of the year, the effect could be to reduce Irish GDP by about 1 per cent in the same period[1].

The prospect of some permanent loss of GDP as a direct consequence of the situation in the United Kingdom, may be aggravated by the effects of higher oil prices. Largely as a result of the increase in oil prices, there is the possibility of a considerable slow down in the growth of world trade in 1974 which may cause a further weakening in Ireland's export markets. Also, there will be a deterioration in the Irish balance of payments position. But it is important to recognise that this is true of the large majority of OECD Member countries, a large OECD area deficit with the rest of the world is unavoidable in 1974, and that it would be inappropriate for individual countries to seek rapid improvements in their external accounts at the expense of other OECD countries other than as a corrective to a major non-oil imbalance. The latter reservation does not apply to Ireland. In addition, the discovery of sizeable mineral resources within Ireland is likely to bring a considerable improvement in the structure of the Irish balance of payments over the medium term.

The immediate deterioration in the balance of payments should not, therefore, be considered a constraint on growth. As regards oil supplies, the position of the United Kingdom and the possible savings on inessential uses of oil outlined in Part I suggest that oil supplies are unlikely to restrict the growth of output to any important degree. While stressing the uncertainties surrounding future developments, a policy posture which allowed for some rise in output in the first half of the year and then ensured a fast return to normal by the second half, with levels of output some 5 per cent or more higher than in the second half of 1973, would seem reasonable[2].

Prospects for 1974 with present policies

Although the outlook for 1974 is clouded by the uncertainties in Ireland's main export markets, it is clear that on the basis of present policies[3] there would be a sharp slowdown in the growth rate of GDP from 1973. Overall,

1 This is a higher impact than suggested by the OECD world trade model, but model results probably underestimate the effects of severe disruptions in a major supplier.

2 In purely arithmetic terms, if one per cent of annual output were to be permanently lost in the first half of the year due to the situation in the United Kingdom and the initial hesitation caused by the oil crisis, and an underlying growth rate of 5½ per cent were the aim, the following would be the ideal GDP path.

	1973	1974		1975		1974/1973	1975/1974
	II	I	II	I	II		
1973 = 100	101.3	102.5	106.9	109.8	112.8	104.5	111.3
Annual growth (from previous period)	5½	2½	8½	5½	5½	4½	6½

3 The assumptions about unchanged policies are:

(*i*) no change in the exchange rate;

(*ii*) development of wages and salaries in line with the Third National Wage Agreement;

GDP might rise by around 3 to 3½ per cent in 1974, rather less than the underlying growth of productivity[1]. The main constraint on growth would be a deficiency of domestic demand, with private consumption weak—largely because of imported inflation. The forecast does not take into account the Government commitment to cut private income taxation made before the approval of the Third National Wage Agreement.

On the basis of the revised proposals average wage and salary earnings could be expected to rise by about 18 per cent through 1974. This would suggest, assuming a productivity increase of about 5 per cent, that unit wage costs would rise by 12 per cent. The rise in non-food import prices in 1974, including the effect of higher oil prices and assuming no further changes in the exchange rate, could be of the order of 25 per cent, while food prices may rise by around 10 per cent. On the basis of such movements in unit wage costs and import and food prices, consumer prices could rise by up to 15 per cent through 1974[2]. Thus a comparison between the possible movements in post-tax wage and salary movements and consumer prices suggests no great buoyancy in consumers' expenditure. The conclusion is unlikely to be greatly altered if trends in disposable incomes in agriculture and non-agricultural employment are taken into account.

Of the other sources of demand, fixed investment is expected to provide a major stimulus on the basis of an assumed 20 per cent value increase in the public capital programme (i.e. up to 6 per cent in volume) and private non-residential fixed investment being sustained by the recent acceleration in the inflow of foreign projects. Private residential investment may not be strong, despite recent government aid to the building societies and an improved inflow of funds recently, given the likelihood of continuing high interest rates and the uncertainties caused by the oil crisis. The forecast incorporates a 3 per cent growth rate in agriculture. The likely slowdown in the rate of increase in the world price of beef in 1974 could, combined with rapidly increasing prices of farming inputs, hold back the growth of output[3]. In addition the 1973-74 winter has been particularly wet. The rising average age of the cattle stock last year may induce some switch to exports and rather less build-up of stocks. As explained above, developments abroad are likely to bring about some hesitation in the growth of industrial export demand. Though the depreciation of sterling, increasing emphasis on exports to Continental Europe and increased export capacity may work in the opposite direction, industrial exports are expected to grow rather more slowly than in 1973.

If the outcome depicted in these three paragraphs were to materialise, the 1974-75 public sector current deficit would probably be of the same order as in 1973-74; increased wage and salary and social security payments would

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(*iii*) no changes in public current expenditure trends;
(*iv*) no changes in tax rates;
(*v*) the growth of public investment in volume terms returns to long-run trends.

1 Sectoral growth rates might be as follows: agriculture, 3; industry, 4-5; services, 2½.

2 The impact of the oil crisis on consumer prices was estimated above at about 4 per cent, so the rise excluding energy effects is about 10 per cent, an improvement on last year.

3 1974 is only the second year of the five-year transition period to tariff-free flows of agricultural produce between Ireland and the original six EEC Members. Ireland is, therefore, only partially compensated for a fall in world prices below EEC intervention prices.

be approximately offset by the increase in direct and indirect tax receipts which would occur at the assumed rates of wage and price inflation. The balance of payments deficit on current account could be about £140 million, a distinct improvement in the pre-oil situation, reflecting weak domestic demand and a consequent deceleration of imports and increased EEC transfers estimated at £60 million against £30 million in 1973.

Conclusions

The prospects for real output growth in 1974 thus seem to fall short of the 4½ per cent suggested above as a reasonable aim. The overall shortfall, with a 20 per cent increase in the public capital programme, could be of the order of one percentage point, with a somewhat larger reduction in the possible rate of growth of private consumption. Policy action to stimulate demand and output would, therefore, seem desirable.

An appropriate form of stimulus would, in the light of the possible development of private consumption, presumably include reductions in personal direct taxation or in indirect taxes. Indirect tax reductions would have the advantage of easing the prospective rate of inflation, but the discussion in earlier sections has underlined the desirability of a revision of direct personal taxation rates to take account of the rapid growth of money incomes and prices in recent years. Further stimulus, if necessary, would require more rapid expansion of public expenditure than outlined above.

So far these policy considerations have been discussed without reference to the possible development of wages and prices. The new National Wage Agreement is welcome. But the experiences of recent months have also carried lessons for future policy on prices and incomes. The openness of the Irish economy makes it extremely vulnerable to external inflationary forces and consequent changes in real incomes. The uncertainties facing both trade unions and employers when bargaining under such circumstances compound the usual difficulties of arriving at a settlement. In such circumstances, the Government could well help to reduce such uncertainties by playing a more active part in wage determination. For instance, the commitment to reduce personal taxation played an important role in the final settlement of the Third National Pay Agreement. The argument carries increasing force as the centralised pay negotiations which have been taking place for some years move into more detail and sophistication, for example dealing with the development of real incomes, the distribution of income among wage and salary earners and the positions of special groups. The new National Economic and Social Council could provide a suitable forum for the discussion of the possible costs and benefits of Government participation in this crucially important policy area. It is unlikely that an effective policy to combat inflation can be devised for an open economy under uncertain international conditions if price controls and centralised wage determination are not supplemented by fruitful discussion on accompanying fiscal and demand management policies.

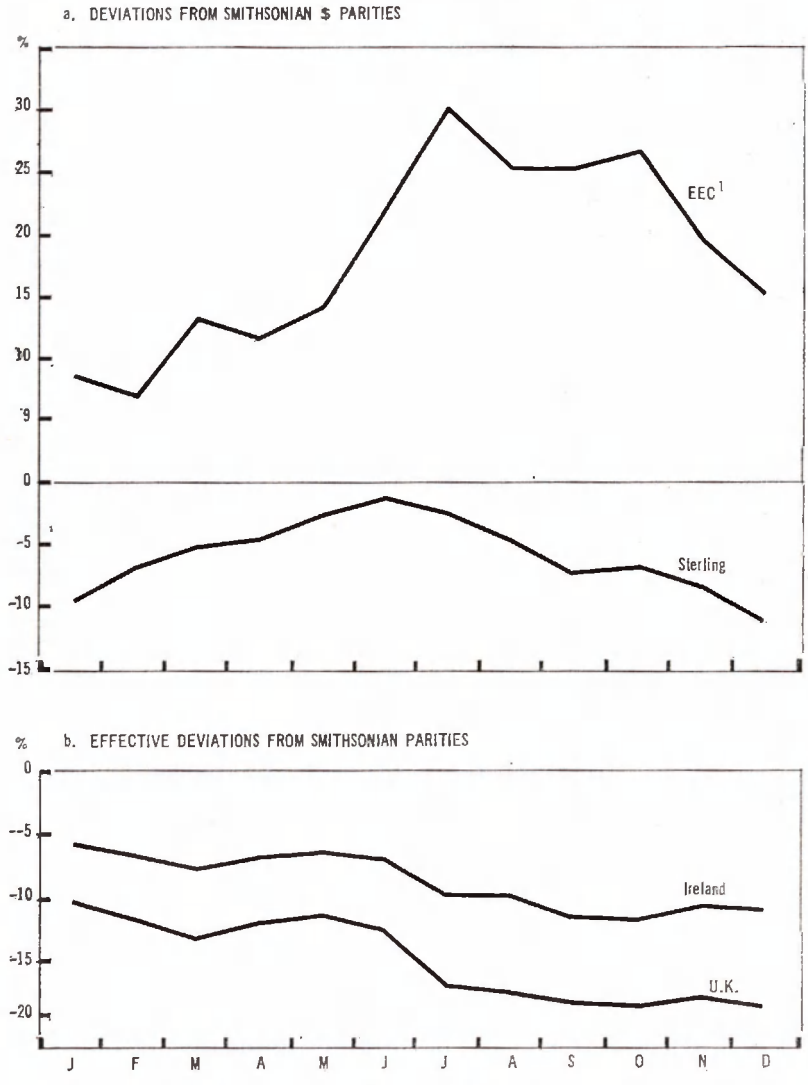
If demand management policy were to support growth at capacity rates through 1974 the deficits on current account of both the balance of payments

and the public sector would increase sharply. The significance of the balance of payments deficit should not be exaggerated: in large measure it would represent oil price increases whose balance of payments effects cannot be offset other than over a period of some years; and it would also contain some cyclical element if Ireland were to be more successful than its trading partners in maintaining output and employment. Nor should an increased deficit on current government budget deficit be considered undesirable: indeed if the economy is to continue to operate at full capacity over a period of sharp deterioration in the balance of payments (i.e. there is a reduction in investment abroad), and full employment is associated with roughly stable levels of domestic private investment and private sector saving, then the national accounting identity requires that the increased external deficit be matched by an increased public sector deficit. Such a policy posture would represent a positive response to the threat to domestic output and employment produced by the oil crisis and would also help to sustain imports and thus, in a modest way, activity in other countries.

The suggestions on short-term policy action may, however, appear strikingly in contrast to conclusions reached after the brief survey of the public sector, namely that continued expansion of the public capital programme would be desirable, that it could be constrained by financing considerations and that the constraint could be lessened by moves which would favour the emergence of public sector savings over the medium term[1]. But any move towards a broader tax base would not exclude short-term demand management action, and even in a situation such as discussed here it would be appropriate to proceed with such broadening if the measures were taken as part of a package with the desired overall impact. In any case the suggested additional revenue sources included capital gains and wealth taxation, whose effects on aggregate demand and output are probably small in relation to their revenue-raising capacity. Another suggested source was farming incomes. If income or land taxes in the agricultural sector were introduced in the next financial year their initial deflationary effect would probably be small as payments would presumably not be due for some time.

1 Changes towards more direct control of the monetary system were also suggested, aimed at minimising the inflationary side-effects of public sector expansion and ensuring an adequate supply of funds for productive uses in the private sector.

Diagram A **Effective exchange rates (1973)**



1 Weighted average rate of exchange of the countries having adhered to the snake agreement (Belgium, Denmark, France, Germany, Netherlands, Norway. Sweden). Weights used are the share of each country's commodity exports plus imports in the total trade of the above countries.

Sources : OECD Secretariat estimates.

Annex A

A CALENDAR OF ECONOMIC EVENTS IN 1973

January Ireland became a member of the European Communities.

The NPC's report for December 1972 indicated that some 22 per cent of retail shops visited in the last quarter of 1972 were not displaying food prices and that some 700 to 800 retailers were to be prosecuted. 134 complaints (about half the total) of unjustified price rises following the introduction of VAT had been found justified and prices had subsequently been cut and the excess charged was being repaid.

The Minister for Industry and Commerce made a new Order under the Prices Act making it obligatory for all retailers to mark all goods with tax-inclusive prices. A similar provision covered service prices.

Limited controls on the price of new houses introduced.

The Restrictive Practices (Amendment) Bill, 1972 was introduced to the Dail. The Bill covered mergers or takeovers of enterprises with assets in excess of £250 000 and was designed to give the Government powers to deal retroactively with monopoly situations. It envisaged that a Ministerial directive ordering a company or group to divest itself of certain assets could be challenged in the High Court.

Over 220 000 workers received an increase of 7 to 8 per cent on basic pay under the 1970 National Pay Agreement, based on the 8.2 per cent rise in consumer prices over the year to November 1972. All were entitled to a further 10-12 per cent increase on 1st June 1973, when the first phase of the July 1972 National Pay Agreement took effect.

The Government announced plans to raise £12.5 million on the Eurobond market to assist the financing of the 1973-74 public capital programme.

The Irish Livestock and Meat Board commissioned an independent enquiry into the feasability of a central meat export marketing corporation.

February The Governor of the Central Bank proposed the drafting of a " social contract " between management, workers and the Government to cover the attainment of lower rates of cost and price increase and the equitable distribution of the economic gains expected from EEC membership.

After consultation with the Central Bank, the Associated Banks decided to raise deposit rates by 1¼ per cent and lending rates by 1 per cent. The upward revision was a technical response to external conditions.

The Central Bank expressed dissatisfaction with trends in bank lending, with the ceiling for the year to end-April 1973 already exceeded by end-January. It took the following measures:

(*i*) Informed licensed banks that over the coming months credit should not be extended for non-productive purposes;

(*ii*) raised the primary liquidity requirement from 12 to 13 per cent and the secondary requirement to 31 per cent;

(*iii*) requested banks to ensure that no net capital inflows occurred after the bank return date in January 1973;

(*iv*) required 50 per cent of any inflows which did occur to be deposited with the Central Bank, the deposits not to be included in the calculation of primary liquidity ratios;

(*v*) declared that recourse to Central Bank discounting facilities should be exceptional and purely temporary and that the Bank would apply rates above the published minimum rediscount rate to such operations.

Commission on the Status of Women suggested, inter alia, more equitable income tax assessments and equal pay for equal work. National Coalition Government made up of Fine Gael and Labour parties formed after general election. The Fianna Fail party had been in office for 35 of the previous 41 years.

March Members of the Irish Building Societies' Association raised interest rates to depositors from 5.5 to 6 per cent and mortgage rates from 9 per cent to 10 per cent.

Confederation of Irish Industry and Northern Ireland section of the Confederation of British Industry set up joint committees to examine transport and regional policy in an all-Ireland context.

All British and Irish Stock Exchanges merged to form 'The Stock Exchange'.

Building Society Association lending rates on home mortgage loans raised from 9 to 10 per cent. The Government subsequently fixed this as a maximum rate beyond which Societies would lose their special tax concessions.

The National Prices Commission (NPC) report discussed the nature of the inflationary problem in Ireland.

Associated Banks raised all interest rates by 1¼ per cent, as rates in Britain rose further.

British White Paper on the future of Northern Ireland published, suggesting that the province should remain a part of the United Kingdom so long as the majority of its inhabitants so wished, but that an "Irish dimension" should be recognised.

April The introduction of legislation to control mergers and monopolies announced.

Associated Banks reduced all interest rates by ½ per cent. New deposit rates of 6 and 7 per cent (less than and over £25 000 respectively), lending rates ranged from 9¼ to 13½ per cent.

Labour Court report turned down a proposed pay settlement for bank officials in excess of the National Pay Agreement.

The Prime Minister, in his first major speech since the general election, recognised the importance of overseas industrial promoters in encouraging export-led development in Ireland and said the IDA's efforts to attract new industries would be intensified. He recognised the dangers of inflation to the Irish development process, though some price increases such as import costs and the domestic implications of high beef and other agricultural export prices were outside Government control, and undertook to implement full and fair price control and encourage free competition.

EEC draft proposals on regional problems highlighted the case for substantial aid for Ireland.

Central Bank again underlined the need to bring the major economic interest groups together to discuss Irish economic prospects and the problem of inflation.

Equal pay for women in the public service by 1977 adopted as a Government principle.

A report by the Committee on Industrial Progress pointed to inadequacies in manufacturing management faced with an environment of freer trade. The principal problems highlighted were excessive production orientation, failure to use educational and training facilities, the advanced age of owners and directors in many long-established, smaller enterprises and resistance to change; many of these attitudes had their roots in the earlier protectionist period and were behind the sharp increases in redundancies.

May The Capital Budget for 1973-74 forecast a 23 per cent increase in the public capital programme over 1972-73 (27 per cent excluding expenditure mainly incurred and financed abroad by shipping and air companies). The major provisions were:

	Expenditure (£ million)	% change on 1972-73
Housing	76	38
Educational buildings	19	21
Agriculture	57	24
Industry	51	21
Electricity development	34	26
Other	68	7
Total programme	305	23

The current budget was presented against a background of little change in the overall position on the basis of commitments in 1972-73 and a 4 per cent real growth rate. The pre-policy-change table for 1973-74 below includes £5½ million contributions to EEC budgets but excludes estimated savings of £33 million on expenditure, principally agricultural support payments which would otherwise have had to be met by the Exchequer.

£ million	1972-73 provisional outturn	1973-74 estimates on unchanged policy
Expenditure	665	739
Revenue	660	735
Current deficit	–5	–5

On the basis of the Capital Budget already outlined, earlier commitments on easing local property taxes (rates) and increased expenditure on road maintenance, it was estimated that the deficit would be £20 million and that real output would grow by about 4 per cent in 1973. The judgement made was that further stimulus was justified, sufficient to raise the growth of output by an additional 1½ percentage points to 5½ per cent. Further expenditure of about £44 million was undertaken almost exclusively on the improvement of social benefits, and VAT was abolished on food. These measures were partially offset, largely by increased indirect taxation on alcoholic drink and tobacco and higher VAT rates on less-essential items. The following table summarises the effects of changes on the pre-policy-change table above (changes in £ million):

Revenue		Expenditure	
Duties on drink and tobacco	11	Rates easement	13
Motor vehicle duties	3	Road fund	6
Post office charges	4	Social Welfare	39
Revised VAT structure	3	Accountancy changes	–4
Other changes (net)	0	Other changes	2
Total	21	Total	56

The post-policy-change current budget outturn was thus estimated at £39 million, before fully accounting for increased revenue at the higher anticipated levels of activity.

The Budget also foreshadowed longer-term reforms and clarified longer-term policy stances:

Government commitment to voluntarily negotiated National Pay Agreements;

strengthened price controls;

the relief of ratepayers remaining liabilities supporting health charges and health subsidies;

abolition of death duties and their replacement by new forms of capital taxation to be discussed in a forthcoming White Paper; the reform of personal taxation within a unified, graduated system in 1974-75;

reform of company taxation, possibly the adoption of a single rate structure with imputation of an appropriate proportion of the tax to shareholders;

accelerated development of public sector programme budgeting.

Building Societies raised deposit rates to 7 per cent but maintained the 10 per cent lending rate. A Government subsidy to cover the cost of the narrowing margin was made available.

June £10 million extra made available to local authorities for home purchase loans and supplementary grants.

NPC occasional paper pointed out large profit margins in fruit and vegetable marketing.

Price control was further strengthened:

importers', wholesalers' and retailers' cash margins on a wide range of commodities were frozen;

maximum retail prices set for household goods, mainly foodstuffs; retail price display extended;

notification period for service price increases extended from one month to two.

Further ½ per cent reduction in Associated Bank interest rates.

July Revised social security benefits became effective — traditionally Budget changes became effective in October.

August Free hospital services were extended to the entire population as from April 1974 (those on higher incomes had previously been excluded) and a £4 upper limit was placed on individual expenditure on drugs. Charges for medical consultations and the system of flat-rate health contributions were maintained. The additional annual Exchequer cost was estimated at £2 million.

September Revised VAT schedules became effective.

The Government announced that the tax holiday on mining companies' profits would be terminated from 6th April 1974. The normal 50 per cent rate of corporate tax would apply, together with a generous scheme of capital allowances.

The Government approved increases in Building Society deposit rates (from 7 to 8 per cent) and mortgage rates (from 10 to 11¼ per cent). The Government 1 per cent subsidy to the Societies was continued but their overall agreement was on the condition that loans should be restricted to new houses until 1st January 1974 and that no loan should exceed £7 500.

NPC report dealt with the comparative cost of consumer credit. NPC also published their occasional paper on consumer protection in the US, Canada and Europe.

All categories of Associated Bank lending rates were raised by ¾ per cent. Deposit rates were also increased, except on sums under £5 000 — a new subdivision of deposits — which remained at 7 per cent. Rates on deposits from £5 000 to £25 000 were raised from 7 to 9 per cent and on deposits over £25 000 from 9 to 10 per cent. The new lending rate structure was (per cent):

Category of borrower	Overdrafts and term loans of less than a year	Term loans			
		1 to 3 years	3 to 5 years	5 to 7 years	over 7 years
AAA	11	11½	12	12½	13
AA	12¼	12¾	12¾	13¼	13¼
A	12½	13¼	14	14½	15¼

AAA — Government, large companies, schools and charities.
AA — Primary and construction industries and agriculture.
A — Other borrowers, including personal borrowers.

Ireland requested a £65 million loan from the World Bank for investment in education, industry and agriculture.

A special delegate conference of the ICTU authorised negotiations on a new national wage agreement through the Employer-Labour Conference.

October Arab oil producers raised crude oil prices by about 50 per cent and undertook progressive reductions in supplies.

Building society rates rose to 8 per cent, mortgage rates to 11¼ per cent.

November British coal miners began to work to rule.

Restrictions were imposed on the use of electricity for advertising display, illumination and flood lighting purposes. Exports of oil to countries other than to the EEC were made subject to licence.

Associated Bank lending rates raised by 1 to 2 per cent and lending rates raised by 1½ per cent.

Agreement was reached on a £7.5 million loan from the European Investment Bank to finance expansion of the telephone service.

The Central Bank suggested that any new National Pay Agreement should provide for lower money wage rate increases than its predecessor.

A joint working party of the Employer-Labour Conference proposed that works councils should be set up by agreement between management and unions in any place of work employing at least 25 people.

Reductions in oil deliveries, based on consumption in the six-months to March 1973, amounted to about 10 per cent in the case of retail customers and 5 per cent in the case of commercial users in the quarter to end-December. A CII survey suggested that reductions of this order were possible without affecting industrial production and transport.

December The new National Economic and Social Council held its first meeting. The Council's primary function is to advise the Government on the development of the national economy and the achievement of social justice. Its 47 members are drawn from employer organisations, the ICTU, agricultural organisations and government departments. The Government have also appointed a number of persons to the council with special qualifications or experience in economic and social affairs. The Council will have its own Secretariat.

A three-day working week was introduced in the United Kingdom in response to energy shortages.

A statement by the IDA suggested that some 16 000 new jobs would be approved over the 1973-74 financial year, 2 000 more than in the previous year. The Small Industry Programme and the regional spread of new projects had been satisfactory. There had been a marked resurgence of interest by British Companies. The Authority was to provide incentives for the introduction of energy saving industrial equipment, had increased its stock of land for future industrial development and was equipping it with essential services, and saw the need for increased State investment in facilities for future industry.

A draft twelve-month National Pay Agreement was completed by the Employer-Labour Conference. The proposed new settlement suggested percentage increases averaging about 15 per cent for standard cases by the end of the period, the increases weighted in favour of the lower paid, a further reduction of at least a third in male/female pay discrepancies, arrangements to bring terminal dates of individual agreements closer together, and full pre-tax compensation for each 1 per cent increase in the consumer price index over 10 per cent.

Arab oil producers decided to moderate their production cuts, with 1974 production at 15 per cent below September 1973 levels. Prices to consumers were virtually doubled (i.e. a 150 per cent increase since early October).

Electricity consumers were requested to cut consumption by 10 per cent in factories, by 20 per cent in the home and by 30 per

cent in commercial premises. All primary schools were closed for an additional six days and it was announced that consideration was being given to earlier closure of radio and television and earlier introduction of Summer time. Preparations were made for petrol, gas and electricity rationing.

Further restrictions on the use of oil, with effect from January 1974, were announced. These were expected to achieve a cut-back of about 10 per cent of normal requirements in industry. The corresponding cut-back in oil for domestic heating and for space heating in offices, etc., were 34 per cent and 50 per cent respectively.

1974

January

A voluntary scheme of cuts in gas consumption was introduced. Electricity and many gas charges were raised by 10 per cent. 40 per cent increases in imported Polish coal prices were sanctioned. It was expected that imports from Poland would rise by 15 per cent in volume terms in 1974 though shipping schedules had been upset by the oil crisis and had led to temporary shortages. Alternative sources of supply were being considered in the light of developments in the United Kingdom.

Ministerial planning permission was given for a major oil refinery in Bantry Bay after a long controversy over its environmental implications. It appeared probable that the Government would require an undertaking that a proportion of the oil would be reserved for the Irish markets.

The ICTU and the Institute of Chartered Accountants pressed for radical reform of the tax system. In ICTU/Government consultations the speedy publication of the White Paper on taxation was promised but the Government said changes in taxation and social welfare benefits could not be announced in advance of the budget.

A ten-year, £80 million farm modernisation scheme and a retirement scheme for farmers were announced. The scheme was designed to bring about 35 000 farmers' incomes up to the industrial average. The majority of farmers, whose farms could not be sufficiently developed, will be able to use the scheme for its first four years. The 35 000 " development " farmers will be given priority in the allocation of land vacated by those retiring.

The draft 1974 National Pay Agreement was rejected emphatically by a special ICTU delegate conference.

The Electricity Supply Board introduced a 30 per cent surcharge from January 1st, the surcharge to increase gradually as the benefit of lower priced oil stocks on hand was exhausted. New

quotas on oil deliveries in February and March reflected the improving supply situation. Cuts on normal requirements (percentage terms, January figures in brackets) were:

petrol	17½ (22)
gas/diesel oil (space heating)	40 (49)
domestic heating	30 (34)

The Minister for Finance announced that, in order to curb the use of credit for speculative purposes, the amount of loan interest allowed to qualify for tax relief would be restricted to a maximum of £2 000 a year.

February Coal miners in the United Kingdom went on strike.

The price of petrol was raised by 6p. per gallon (10 to 15 per cent).

An improved offer by employers raised the average increase in earnings under revised proposals for a new national wage agreement from about 15 to 17-18 per cent. Other provisions were left unchanged.

Building trade unions entered a claim for a 30 to 40 per cent increase in wage rates. The claim covered 55 000 of the 88 000 workers due for an increase since January 1st.

The Prime Minister suggested that the increase in the oil import bill as a result of price changes could be £90-100 million.

The Minister for Labour suggested that the strength of Irish industrial relations and central bargaining was that they enjoyed " the requisite autonomy from state control ". Experience in other countries had shown that Government intervention in the institutional arrangements did not advance their efficiency.

The Government announced that the burden of personal income taxation would be reduced in the 1974-75 budget.

The Government White Paper on capital taxation considers the general case for the taxation of capital and advocates the introduction of a capital gains tax, an annual wealth tax, the capital acquisitions tax, and the abolition of estate duty and the present legacy and succession duties.

An agreement on supplies of Russian oil in 1974 foresaw a 40 per cent in crease in volume on 1972 levels. Much of the oil would be fuel oil for electricity generation.

March Revised proposals for a new National Pay Agreement were accepted by an ICTU delegate conference.

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STATISTICAL ANNEX

Table A **Expenditure on Gross National Product**

	1966	1967	1968	1969	1970	1971	1972	1973
				(a) £ *million at current prices*				
Consumers' expenditure	746.3	796.7	907.3	1 029.5	1 139.8	1 264.6	1 441	1 706
Public authorities' current expenditure	135.1	144.2	164.1	190.6	229.6	280.8	352	425
Gross fixed capital formation	200.0	220.9	258.4	333.4	360.5	432.0	486	620
Change in stocks and work in progress	+7.8	−4.5	+ 16.1	+ 37.1	+ 35.9	+ 19.8	+ 51	+ 84
Domestic demand	1 089.2	1 157.3	1 345.9	1 590.6	1 765.8	1 997.2	2 330	2 835
Exports of goods and services[1]	376.0	417.9	484.6	537.7	600.8	676.6	773	1 016
Aggregate demand	1 465.2	1 575.2	1 830.5	2 128.3	2 366.6	2 673.8	3 103	3 851
less: Imports of goods and services[1]	436.3	451.4	563.3	666.1	729.5	804.8	895	1 201
Net factor income from abroad	23.2	24.6	31.7	28.3	28.3	20.4	24	24
Gross national product at market prices	1 052.1	1 148.4	1 298.9	1 490.5	1 665.4	1 889.4	2 232	2 674
				(b) £ *million at constant (1968) prices*				
Consumers' expenditure	806.2	836.8	907.3	956.5	976.8	997.6	1 051	1 117
Public authorities' current expenditure	148.4	155.2	164.1	175.5	186.5	207.4	229	246
Gross fixed capital formation	214.4	228.8	258.4	309.2	309.3	333.8	342	386
Change in stocks and work in progress	+ 9.5	− 5.9	+ 16.1	+ 34.7	+ 31.6	+ 16.3	+ 30	+ 49
Domestic demand	1 178.5	1 214.9	1 345.9	1 475.9	1 504.2	1 555.1	1 652	1 798
Exports of goods and services[1]	403.2	444.9	484.6	507.2	531.0	556.9	568	628
Aggregate demand	1 581.7	1 659.8	1 830.5	1 983.1	2 035.2	2 112.0	2 220	2 426
less: Imports of goods and services[1]	469.4	487.2	563.3	639.6	655.7	682.6	735	834
Net factor income from abroad	25.0	26.5	31.7	27.1	25.4	17.3	20	17
Gross national product at market prices	1 137.3	1 199.1	1 298.9	1 370.6	1 404.9	1 446.7	1 505	1 609

1 Excluding factor income flows.

Sources: National Income and Expenditure; Irish submission to the OECD.

Table B Production, Employment and Other Economic Indicators

		1969	1970	1971	1972	1973	1972				1973			
							Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4*
1	Volume of agricultural output[1] (1968 = 100)	98.1	99.9	105.7	110.4	109.8								
2	Cattle numbers (thous., mid-year)	5 688	5 956	6 134	6 438	6977								
3	Index of industrial production, transportable goods (1953 = 100)	235	243	254	265	291	242	268	266	284	275	302	288	300
	of which:													
4	Mining and quarrying	494	523	553	553	548	435	583	725	471	470	644	596	483
5	Manufacturing	224	231	241	252	280	233	255	247	275	266	288	274	291
6	No. of males engaged in farm work (thousands, 1st June)	288	274	265	258	252								
7	Employment in transportable goods industries (thousands)[2]	204	208	207	207	213	203	207	208	209	208	213	214	216
8	Registered unemployment (thousands)[3] [5]	57	65	62	72	67	78	72	67	71	74	66	62	65
9	Average hours worked per week in transportable goods industries[4]	43.2	43.0	42.6	42.5	n.a.	42.2	42.6	42.6	42.7	42.3	42.8	42.5	n.a.
10	Value of average weekly retail sales (1968 = 100)	111	122	135	152	179	135	147	153	169	160	178	181	196
11	New private cars registered for the first time (thousands)	50.5	52.9	51.8	62.6	74.1	16.0	18.6	15.8	11.7	19.8	22.1	21.7	10.5

* Preliminary.

1 Net output (incl. value of changes in livestock numbers).
2 Quarterly figures are for March, June, September and December; annual figures are averages.
3 Figures over the years are not comparable owing to changes in coverage.
4 Annual figures are for September, quarterly figures relate to March, June, September and December.
5 Coverage changes in 1971 have severely affected comparability.

Source: Irish Statistical Bulletin.

Table C Prices and Wages

	1969	1970	1971	1972	1973	1972 Q1	1972 Q2	1972 Q3	1972 Q4	1973 Q1	1973 Q2	1973 Q3	1973 Q4
1 Agricultural prices (1953 = 100)	134	140	179	182	n.a.	172	177	183	198	221	235	236	
2 Price per head live weight of bullocks at Dublin auctions (£)[1]	88.9	97.0	109.4	134.3	n.a.	122.4	125.4	140.1	149.9	174.3	182.0		
3 Consumer prices[1] (mid-August 1953 = 100)	172	186	203	220	245	214	217	223	227	235	243	248	255
4 *of which:* Food prices	162	174	187	209	244	201	205	215	216	234	246	244	251
5 Wholesale prices (1953 = 100)	156	165	174	192	n.a.	184	188	193	201				
6 Industrial prices (1953 = 100)	160	168	177	190	n.a.	184	186	190	198				
of which:													
Simply transformed goods	126	131	134	144	n.a.	140	142	144	150				
More elaborately transformed goods	173	182	193	207	n.a.	200	203	208	216				
7 Minimum weekly wages in agriculture[2] (1953 = 100)	284	321	399	436	483								
8 Average hourly earnings in transportable goods industries[3] (October 1953 = 100)	290	340	390	446	n.a.	420	431	446	462	480	519	540	

1 Quarterly figures for February, May, August and November; annual figures are averages.
2 July in each year.
3 Quarterly figures for March, June, September and December; annual figures are for September.
Source: Irish Statistical Bulletin.

Table D Money and Banking

	1969	1970	1971	1972	1972 Q1	1972 Q2	1972 Q3	1972 Q4	1973 Q1	1973 Q2	1973 Q3	1973 Q4
1 Currency in circulation £ million[1]	143.1	158.1	174.1		180.6	181.5	187.8	202.3	199.9	203.5	212.7	236.1
2 Rediscount rate of Central Bank[2] (per cent)	8.25	7.31	4.81	8.00	4.81	6.06	7.19	8.00	8.75	8.00	10.50	12.75
3 Price of 6 per cent Exchequer Stock 1980-85[3] (per £ 100 stock)	76.44	71.64	74.37	78.68	83.19	81.50	74.21	75.81	76.11	73.51	69.70	64.90
4 Price index number of ordinary stocks and shares[3] (1953 = 100)	444	391	379	557	430	517	634	648	699	674	657	603
ASSOCIATED BANKS[2]												
5 Current accounts (£ million)[7]	287.6	[6]	359.1	337.4	318.0	307.5	333.7	337.4	320.1	307.0	326.7	319.2
6 Deposit accounts (£ million)	485.5	[6]	599.4	654.6	583.5	603.0	632.8	654.6	687.0	718.7	769.0	824.1
7 Total credit (£ million)	613.3	[6]	718.2	911.3	782.8	808.6	844.7	911.3	997.2	1 021.5	1 056.7	1 091.0
8 *of which:* Government (£ million)	167.0	[6]	242.2	265.5	258.9	258.4	256.0	265.5	300.9	313.0	323.8	337.9
9 Net external assets (£ million)[5]	19.0[4]											

1 Average of Fridays; quarterly figures refer to the final month.
2 End of period.
3 Average during period.
4 Reflects sterling transferred in November 1968 and in August 1969 to Central Bank in connection with the Basle arrangement.
5 Since the end of 1969 the net external assets of Associated Banks have not been significant and amount only to necessary working balances.
6 Lack or distorsion of data because of the bank dispute.
7 As from 31 March 1972, offset or contra balances—of the order of £ 75 million—have been excluded from these data, which are therefore not directly comparable with those published for earlier dates.

Sources: Central Bank of Ireland Quarterly Bulletin; Irish submission to the OECD.

Table E **Balance of Payments, 1963-73**

OECD Basis

US $ million

	1963	1964	1965	1966	1967	1968	1969	1970	1971	1972
Exports, fob	522	633	631	719	739	853	949	1 091	1 273	1 648
Imports, fob[1]	766	905	947	972	903	1 122	1 341	1 475	1 659	1 975
Trade balance	–244	–272	–316	–253	–164	–269	–392	–384	–386	–327
Services, net[2]	81	92	149	152	141	157	150	142	123	74
Balance on goods and services	–163	–180	–167	–101	–23	–112	–242	–242	– 263	–253
Private transfers, net	70	71	56	61	62	77	78	87	94	114
Official transfers, net	–3	–2	(–3)	(–4)	(–4)	(–3)	(–4)	(–3)	(–4)	(–5)
Current balance	–96	–111	–114	–44	35	–38	–168	–158	–173	–144
Long-term cap. (excl. spec. trans.)	66	96	66	119	70	50	77	151	383	41
(*a*) Private[3]	53	100	58	69	64	44	47	121	348	–11
(*b*) Official	13	–4	8	50	6	6	30	30	35	52
Basic balance	–30	–15	–48	75	105	12	–91	–7	210	–103
Non-monetary sh. term priv. capital[4]	2	1	..	..	..	..	..	..	..	..
Non-monetary sh. term. off. capital	..	..	–6	–6	1	–4	–4	–2	–1	4
Errors and omissions	38	30	3	4	–84	–38	109	–38	119	–1
Balance on non-monetary trans.	10	16	–51	73	22	–30	14	–47	328	–100
Private monetary institutions' short-term capital	37	24	12	11	–75	136	133	40	–49	219
Assets	2	–11	–38	119	–50	–18	186	56	–284	..
Liabilities	35	35	50	–108	–25	154	–53	–16	235	..
Balance on official settlements	47	40	–39	84	–53	106	147	–7	279	119
Use of IMF credit	—	—	—	1	—	—	—	—	—	—
Miscellaneous official accounts	—	—	3	–1	–2	—	–1	–1	—	—
Allocation of SDR's	—	—	—	—	—	—	—	13	13	14
Change in reserves (+ = increase)	47	40	–36	84	–55	106	146	5	292	133
(*a*) Gold	—	1	2	2	2	54	–40	–23	—	1
(*b*) Currency assets	45	38	–38	93	–68	15	176	43	274	112
(*c*) Reserve positions in IMF	2	1	—	–11	11	37	10	–28	5	6
(*d*) Special Drawing Rights	—	—	—	—	—	—	—	13	13	14

1 Original figures for imports were on a cif basis. They are adjusted to fob basis by deduction of 8 per cent representing the estimates cif-fob margin.
2 Service debits include 8 per cent of imports as an approximation of the freight content of imports not recorded in original figures.
3 Including non-monetary short-term capital, from 1965.
4 Included in Private long-term capital, 1965.

Sources: Balance of Payments Submissions to OECD; IMF, Balance of Payments Yearbook; Central Statistical Office, Irish Statistical Bulletin; BIS External Monetary position of OECD countries; IMF, International Financial Statistics.

Table F Foreign Trade and Payments

		1969	1970[1]	1971[1]	1972	1973	1972 Q1	1972 Q2	1972 Q3	1972 Q4	1973 Q1	1973 Q2	1973 Q3	1973 Q4
1	Imports, £ million, monthly averages	49.1	56.4	62.9	70.3	94.2	64.9	69.0	63.9	83.6	87.1	93.9	91.8	104.1
2	Exports, £ million, monthly averages	31.0	38.9	44.9	53.7	72.4	46.2	50.1	56.5	62.2	62.5	68.9	73.4	84.9
3	Trade balance, £ million, monthly averages	–18.1	–17.5	–18.0	–16.6	–21.8	–18.8	–18.9	–7.3	–21.4	–24.7	–25.0	–18.4	–19.3
4	Volume of imports (1968 = 100)	114.3	118.0	124.1	131.8		125.3	132.7	117.8	151.6	148.2	153.2		
5	Volume of exports (1968 = 100)	104.9	113.5	121.7	129.1		116.0	120.7	131.8	139.7	123.8	130.3		
6	Import prices (1968 = 100)	104.0	111.1	117.8	123.2		120.5	120.9	126.1	128.2	137.0	142.6		
7	Export prices (1968 = 100)	106.1	113.1	121.8	138.2		131.5	137.0	141.7	147.7	166.4	174.4		
8	Terms of trade (1968 = 100)	102.0	101.8	103.4	112.1		109.2	113.3	112.4	115.1	121.6	122.3		
	Reserves ($ million, end of period):													
9	Gold	39	16	17	17	18	17	17	17	17	19	19	18	18
10	Currency assets	594	637	911	1 023	911	965	941	884	1 023	898	921	959	911
11	Reserve position in IMF	58	30	38	44	49	38	38	42	44	52	51	50	49
12	SDR holdings	—	13	29	43	48	43	43	43	43	47	48	48	48
13	Total	691	697	995	1 126	1 025	1 063	1 039	985	1 126	1 017	1 039	1 074	1 025

1 In 1970 and 1971 external trade of Shannon Free Airport is included in figures for imports and exports.

Sources: Irish Statistical Bulletin; Central Bank of Ireland Quarterly Bulletin; IMF, International Financial Statistics (lines 9-13).

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